

RECENT DEVELOPMENTS IN PATENT LAW (Fall 2024)

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PATENTABLE SUBJECT MATTER

Software and Business Method Cases

Unpatentable

International Business Machines Corporation v. Zillow Group, Inc., 2024 WL 89642 (Fed. Cir. Jan. 9, 2024)

In this appeal from the Western District of Washington, the Federal Circuit affirmed the district court’s finding that all the claims in two patents held by appellant IBM were subject matter ineligible.⁴ The first patent was directed to a “graphical user interface for a customer self-service system that performs resource search and selection” and the second to a method of “annotating resource results obtained in a customer self-service system”⁵ With regards to the first patent, the court found that its claims did nothing more than “[i]dentify[], analyz[e], and present[] certain data to a user,” which is not a computer-specific technical improvement.⁶ Therefore, it found that this claim was “directed to a patent-ineligible abstract idea” under *Alice* step one.⁷ The court also found that IBM failed to prove inventiveness under *Alice* step two, as it merely offered conclusory allegations of inventiveness that did not connect to specific portions of the patent.⁸

With regards to the second patent, the court found it was directed to the “abstract idea of displaying and organizing information” under *Alice* step one, as it addressed “improving a user’s experience when viewing search results but [did] not contain any specific mechanism for doing so.”⁹ At *Alice* step two, IBM again failed to allege any inventive concept sufficient to make the claims patent-eligible, as the patent contained no “specific, discrete implementation of the abstract ideas” it was directed towards.¹⁰ Therefore, the district court’s finding that both patents were directed towards ineligible subject matter was upheld.¹¹

AI Visualize, Inc. v. Nuance Communications, Inc., 97 F.4th 1371 (Fed. Cir. Apr. 4, 2024)

In this appeal from the District of Delaware, the Federal Circuit affirmed a finding that four patents owned by plaintiff AI Visualize and directed to the advanced

⁴ *International Business Machines Corporation v. Zillow Group, Inc.*, 2024 WL 89642 (Fed. Cir. 2024).

⁵ *Id.* at *1.

⁶ *Id.* at *4.

⁷ *Id.*

⁸ *Id.*

⁹ *Id.* at *5.

¹⁰ *Id.*

¹¹ *Id.* at *6

visualization of medical scans via a web application were subject matter ineligible.¹² The court explained that, for computer-based technologies, the “claimed advances over the prior art” must be focused on “an improvement in computer technologies, rather than the mere use of computers” to avoid being categorized as directed to an abstract idea under *Alice* step one.¹³ It concluded that the claims at issue did not meet this test and were merely directed to the “abstract idea of data manipulation,” as they recited the idea of “creating” visualizations based on an existing dataset, rather than explaining how to create those views from a technological perspective.¹⁴

Having found the claims directed to an abstract idea under *Alice* step one, the court proceeded to analyze whether the claims recited something “significantly more” than that abstract idea to make them patent-eligible under *Alice* step two.¹⁵ In order for a claim to recite “significantly more” than an abstract idea, the nature of the claim must be “transformed” by elements or combinations thereof that go beyond “elements that are routine, conventional, or well-known” in the art.¹⁶ Here, however, the Federal Circuit found that AI Visualize made no arguments for inventive concepts in its claims that reached beyond the creation of “a virtual view,” which itself was the abstract idea addressed under step one and was a well-known concept in the art.¹⁷ Thus, the claims failed at both steps of the *Alice* test and were ultimately deemed patent ineligible.¹⁸

Beteiro, LLC v. Draftkings Inc., 104 F.4th 1350 (Fed. Cir. June 21, 2024)

In this appeal from the District of New Jersey, the Federal Circuit affirmed a finding that four patents owned by Beteiro were subject matter ineligible.¹⁹ The patents were all directed at facilitating live, remote gambling activity via communication devices based on a user’s GPS-determined location.²⁰ At *Alice* step one, the Federal Circuit held that the claims were directed to an abstract idea because they recited generic steps for retrieving information based on location,²¹ used “result-focused functional language” without specificity on how the invention achieved those results,²² and were rooted in a “fundamental and longstanding economic activity.”²³ In so holding, the Federal Circuit rejected Beteiro’s contention that the claims improved computer technologies; instead, the claims merely involved the use of computers as a tool, without any improvement in the computer-related technology itself.²⁴

¹² *AI Visualize, Inc. v. Nuance Communications, Inc.*, 97 F.4th 1371 (Fed. Cir. 2024).

¹³ *Id.* at 1378.

¹⁴ *Id.* at 1379.

¹⁵ *Id.*

¹⁶ *Id.*

¹⁷ *Id.* at 1380.

¹⁸ *Id.* at 1381.

¹⁹ *Beteiro, LLC v. Draftkings Inc.*, 104 F.4th 1350 (Fed. Cir. 2024).

²⁰ *Id.* at 1353-54.

²¹ *Id.* at 1355-56.

²² *Id.* at 1356.

²³ *Id.* at 1356-57.

²⁴ *Id.* at 1357.

At *Alice* step two, the Federal Circuit affirmed the district court’s finding that the claims failed to provide an inventive concept.²⁵ Though the claims involved the use of GPS on a mobile phone, the court found that this was not sufficiently inventive since GPS was, as of the priority date, conventionally used in various computers, and the specification of the patent did not describe any difference between the use of GPS on phones and computers.²⁶ Accordingly, since the patent did not purport to advance GPS technology or the use of GPS on phones in the specification, the Federal Circuit affirmed that the abstract ideas embodied in the patent lacked an inventive concept.²⁷

Patentable

Contour IP Holding LLC v. GoPro, Inc., 113 F.4th 1373 (Fed. Cir. Sept. 9, 2024)

In this appeal from the Northern District of California, the Federal Circuit reversed the district court’s finding that, at *Alice* step one, the asserted claims were directed at an abstract idea, and were thus, patent ineligible under § 101.²⁸ The Federal Circuit criticized the district court for characterizing the claims “at an impermissibly high level of generality.”²⁹ Read properly, the claim was directed to “specific, technological means”—the recording of two video streams in parallel, and wirelessly transferring the lower quality video for real-time viewing—that in turn provided a “technological improvement” to the class of products at issue, which would otherwise suffer from “bandwidth limitations on wireless data transfer.”³⁰ Distinguishing GoPro’s cases, the Federal Circuit noted that this invention was not a “long-known or fundamental practice” and it was sufficiently specific to avoid reciting a mere abstract idea.³¹

IOENGINE, LLC v. Ingenico Inc., 100 F.4th 1395 (Fed. Cir. May 3, 2024)

In this appeal from the PTAB, the Federal Circuit reversed the PTAB’s finding that several claims in two patents were ineligible under the printed matter doctrine.³² The claims were directed at a portable device that “tunneled” encrypted data through an access terminal by allowing data to be provided through the terminal and used by a user, without the data actually residing on the terminal.³³ The PTAB determined that the claim was ineligible under the printed matter doctrine, since there was “nothing in the claim that requires anything beyond sending and receiving data, even if the data is in an encrypted form.”³⁴ The Federal Circuit disagreed, explaining that printed matter is only

²⁵ *Id.* at 1357.

²⁶ *Id.* at 1357-58.

²⁷ *Id.* at 1358-59.

²⁸ *Contour IP Holding LLC v. GoPro, Inc., 113 F.4th 1373 (Fed. Cir. 2024).*

²⁹ *Id.* at 1379-80.

³⁰ *Id.* at 1378.

³¹ *Id.* at 1380-81.

³² *IOENGINE, LLC v. Ingenico Inc., 100 F.4th 1395, 1404 (Fed. Cir. 2024).*

³³ *Id.* at 1400.

³⁴ *Id.* at 1404 (quoting PTAB decision).

“matter claimed for what it communicates.”³⁵ The mere fact that the claim involves a communication does not invoke the printed matter doctrine, as the doctrine only covers *what* is communicated—“the content or information being communicated”—not the communication itself.³⁶ And since the claim did not invoke the *content* of the encrypted communications, the doctrine did not apply.³⁷ For similar reasons, the Federal Circuit reversed the PTAB’s decision not to afford patentability to a “program code” limitation asserted in one of the claims, since the claim was “altogether silent” as to the contents of the code, and therefore, no content was claimed.³⁸

Astellas Pharma, Inc. v. Sandoz Inc., 2024 WL 4219374 (Fed. Cir. Sept. 18, 2024)

In this appeal from the District of Delaware, the Federal Circuit vacated the judgment entered by the district court in Sandoz’s favor after a bench trial.³⁹ By stipulation prior to trial, Sandoz agreed to limit its invalidity defenses to those arising under § 112 and waived all other invalidity challenges.⁴⁰ Though the parties never litigated § 101 issues at trial, the district court found that the claims were patent ineligible and entered judgment in Sandoz’s favor.⁴¹

Citing the longstanding principle of party presentation—that courts may only assume the “role of neutral arbiter of matters” framed and litigated by the parties⁴²—the Federal Circuit held that the district court abused its discretion by rendering a decision on a ground not raised by the parties.⁴³ In so doing, the district court had “misapprehended its rule” because it viewed § 101 as a threshold inquiry that it was obligated to address even in the absence of party presentation.⁴⁴ Instead, the Federal Circuit explained, because 35 U.S.C. § 282 entitles granted patents to a presumption of validity, the district court’s role is only to determine whether the challenge has presented clear and convincing evidence to overcome that presumption—not to engage in a free-ranging inquiry on whether the invention is sufficiently worthy of protection.⁴⁵ Finally, the Federal Circuit both rejected Sandoz’s reliance on contrary caselaw that failed to consider the presumption created by § 282, as well as Sandoz’s appeal to public policy.⁴⁶

³⁵ *Id.* (quoting *In re Distefano*, 808 F.3d 845, 850 (Fed. Cir. 2015)).

³⁶ *Id.*

³⁷ *Id.*

³⁸ *Id.* at 1405.

³⁹ *Astellas Pharma, Inc. v. Sandoz Inc.*, No. 2023-2032, 2024 WL 4219374 (Fed. Cir. Sept. 18, 2024).

⁴⁰ *Id.* at *3.

⁴¹ *Id.*

⁴² *Id.* at *4 (quoting *Greenlaw v. United States*, 554 U.S. 237, 243 (2008)).

⁴³ *Id.*

⁴⁴ *Id.* at *5.

⁴⁵ *Id.* at *4-6.

⁴⁶ *Id.* at *5-6.

DISCLOSURE

Definiteness

Maxell, Ltd. v. Amperex Technology Limited, 94 F.4th 1369 (Fed. Cir. Mar. 6, 2024)

In this appeal from the Western District of Texas, the Federal Circuit reversed a finding that a claim directed to a lithium-ion battery was indefinite for containing necessarily contradictory elements.⁴⁷ The District Court found that one claim limitation requiring a transition metal element to “contain cobalt, nickel, or manganese” contradicted a second limitation that the same claim element “contain cobalt at a content of 30% to 100% by mole,” as the second limitation “takes back” options that the first limitation granted.⁴⁸ The Federal Circuit, however, explained that this interpretation was incorrect; claim limitations recite “conditions that must be met” rather than providing options, and as long as two requirements can both be met, “there is no contradiction.”⁴⁹

Defendant Amperex had conceded that, in fact, “there would be no contradiction, and therefore no indefiniteness problem, if [the second limitation] were recited in a dependent claim,” but argued it was not appropriate for both limitations to be in the same claim.⁵⁰ The court disagreed, explaining that “there is no difference material to the indefiniteness inquiry” between limitations within the same independent claim and those separated into an independent and dependent claim.⁵¹ It therefore concluded that no indefiniteness due to contradictory claim elements existed and reversed the District Court’s decision.⁵²

Janssen Pharmaceuticals, Inc. v. Teva Pharmaceuticals USA, Inc., 97 F.4th 915 (Fed. Cir. Apr. 1, 2024)

In this appeal from the District of New Jersey, the Federal Circuit affirmed the district court’s finding that a claim limitation requiring “an average particle size . . . from about 1600 nm to about 900 nm” was indefinite.⁵³ Neither the claim or specification specified which of the several conventional techniques for measuring particle size should be used, and defendant Teva argued that each of these techniques “would yield meaningfully different results,” making it indefinite whether any particular particle sample satisfied the claim limitation.⁵⁴ However, Teva’s only evidence that different

⁴⁷ *Maxell, Ltd. v. Amperex Technology Limited*, 94 F.4th 1369 (Fed. Cir. 2024).

⁴⁸ *Id.* at 1373.

⁴⁹ *Id.*

⁵⁰ *Id.* at 1374.

⁵¹ *Id.*

⁵² *Id.*

⁵³ *Janssen Pharmaceuticals, Inc. v. Teva Pharmaceuticals USA, Inc.*, 97 F.4th 915 (Fed. Cir. 2024).

⁵⁴ *Id.* at 937.

measurement techniques would lead to different results was based on “an outlier measurement taken with a defective device.”⁵⁵ The court therefore concluded Teva had failed to prove that different measurement techniques would cause discrepancies in general, meaning that the district court’s finding of definiteness was not clearly erroneous.⁵⁶

Vascular Solutions LLC v. Medtronic, Inc., 2024 WL 4195130 (Fed. Cir. Sept. 16, 2024)

In this appeal from the District of Minnesota, the Federal Circuit reversed the district court’s finding that the claim limitation “substantially rigid portion/segment” was indefinite and vacated the entry of judgment in Medtronic’s favor.⁵⁷ The seven asserted patents were directed to a “coaxial guide catheter that is deliverable through standard guide catheters by utilizing a guidewire rail segment to permit delivery without blocking use of the guide catheter.”⁵⁸ After a lengthy claim construction dispute over the physical boundaries of the “substantially rigid portion/segment” limitation, the district court found that Vascular Solution’s construction would result in the same device infringing two mutually exclusive claims, and thus, the limitation was indefinite.⁵⁹

On appeal, the Federal Circuit held that the district court had erred in finding the two claims “mutually exclusive” because the boundaries for the “substantially rigid portion/segment” limitation were different in each claim.⁶⁰ The district court’s conclusion, in effect, meant that “(1) claims in a patent cannot vary in the way they claim the disclosed subject matter, and (2) independent claims must be totally consistent with other independent claims.”⁶¹ But claiming “is not restricted in this way” so long as the claims are themselves sufficiently informing.⁶² Instead, the Federal Circuit directed the district court to conduct a “claim-by-claim” construction of the limitation, with the understanding that, at claim construction, the claims are not necessarily mutually exclusive since each independent claim is a different combination of limitations.⁶³ The Federal Circuit also held that the claim limitation was functional in nature, and thus, the physical boundaries of the “substantially rigid portion/segment” did not have to be consistent across claims.⁶⁴ Though the *construction* of the limitation must be the same across claims, “that construction can be a functional construction that does not specify the [physical] boundary of the ‘substantially rigid portion.’”⁶⁵ The court reserved judgment on Medtronic’s argument—that a functional construction of the limitation would allow a

⁵⁵ *Id.*

⁵⁶ *Id.*

⁵⁷ *Vascular Solutions LLC v. Medtronic, Inc.*, 2024 WL 4195130 (Fed. Cir. Sept. 16, 2024).

⁵⁸ *Id.* at *1.

⁵⁹ *Id.* at *5.

⁶⁰ *Id.* at *7.

⁶¹ *Id.*

⁶² *Id.*

⁶³ *Id.*

⁶⁴ *Id.*

⁶⁵ *Id.* at *7.

single device to infringe claims that define the physical boundary differently—since that infringement argument was premature at claim construction.⁶⁶

Written Description

Rai Strategic Holdings, Inc. v. Philip Morris Products S.A., 92 F.4th 1085 (Fed. Cir. Feb. 9, 2024)

In this appeal from the PTAB, the Federal Circuit vacated the Board’s decision that patent claims describing a heating member with “a segment having a length of about 75% to about 85% of a length of the disposable aerosol forming substance” lacked written description.⁶⁷ The specification at issue disclosed several other ranges of lengths, including the ranges of “about 75% to about 125% of the length of the inhalable substance medium” and “about 85% to about 115%” of the same.⁶⁸

The court explained that a broad range in a specification can provide written description support for a narrower claimed range where it would be clear to a skilled artisan that the two ranges describe the same invention.⁶⁹ The specification at issue disclosed a relatively predictable “electro-mechanical invention” and lacked any indication that “changing the length of the heating member changes the invention, whether as to operability, effectiveness, or any other parameter.”⁷⁰ The specification also expressly disclosed both endpoints of the claimed range, about 75% and about 85%, by disclosing two different ranges with a lower bound of about 75% and about 85%, respectively.⁷¹ Therefore, the court concluded that it was sufficiently clear the claimed subrange of the disclosed ranges would not result in a different invention and vacated the PTAB’s finding of inadequate written description.⁷²

⁶⁶ *Id.*

⁶⁷ *Rai Strategic Holdings, Inc. v. Philip Morris Products S.A.*, 92 F.4th 1085 (Fed. Cir. 2024).

⁶⁸ *Id.* at 1090.

⁶⁹ *Id.*

⁷⁰ *Id.*

⁷¹ *Id.*

⁷² *Id.* at 1092.

NOVELTY

Celanese International Corp. v. International Trade Commission, 111 F.4th 1338 (Fed. Cir. Aug. 12, 2024)

In this appeal from the International Trade Commission (“ITC”), the Federal Circuit affirmed the ITC’s finding that the appellants’ post-AIA patents were invalid due to secret commercial use under § 102(a)’s on-sale bar.⁷³ It was undisputed that Celanese’s patented process was in secret use in Europe prior to the critical date (i.e., one year before the effective filing date) and that Celanese had made pre-critical-date sales of products, made using the patented process, in the United States.⁷⁴ The Federal Circuit first examined “long-settled pre-AIA precedent” establishing that the sale of products made using secret processes, as here, triggered the pre-AIA on-sale bar.⁷⁵ The court then rejected Celanese’s argument that Congress intended to abrogate the “settled construction” of “on sale.”⁷⁶ Consistent with the Supreme Court’s decision in *Helsinn*,⁷⁷ the Federal Circuit held that textual modifications to AIA § 102(a) did not show Congress’ intent to alter the settled meaning of the on-sale bar.⁷⁸ Similarly, the Federal Circuit rejected Celanese’s argument that various new provisions added to the AIA, including Sections 102(b), 271(g), and 273(a), and the legislative history of the AIA evinced Congress’ intent to change the well-settled meaning of “on sale” in § 102(a).⁷⁹

Sanho Corp. v. Kaijet Technology International Ltd., Inc., 108 F.4th 1376 (Fed. Cir. July 31, 2024)

In this appeal from the PTAB, the Federal Circuit affirmed the PTAB’s finding that the patentee’s private sale of a product embodying the claimed invention did not qualify for the AIA’s “public disclosure” exception that would create a one-year grace period.⁸⁰ The Board first found that, based on a prior art reference (Kuo), the claims were obvious.⁸¹ But, prior to the Kuo filing date, the inventor had sold products practicing the patent to Sanho through a series of private messages that did not disclose the features of the invention to others beyond Sanho.⁸² Sanho contended that this private sale amounted to a “public disclosure” under § 102(b)(2)(B), which would give Sanho a one-year grace period good not just against its own disclosures but also third party disclosures, and thus render Kuo not prior art.⁸³

⁷³ *Celanese International Corp. v. International Trade Commission*, 111 F.4th 1338 (Fed. Cir. 2024).

⁷⁴ *Id.* at 1341.

⁷⁵ *Id.* at 1343-44.

⁷⁶ *Id.* at 1345.

⁷⁷ *Helsinn Healthcare S.A. v. Teva Pharmaceuticals USA, Inc.*, 139 S. Ct. 628 (2019).

⁷⁸ *Celanese International Corp.*, 111 F.4th at 1345-46.

⁷⁹ *Id.* at 1347-49.

⁸⁰ *Sanho Corp. v. Kaijet Technology International Ltd., Inc.*, 108 F.4th 1376 (Fed. Cir. 2024).

⁸¹ *Id.* at 1379.

⁸² *Id.* at 1384-85.

⁸³ *Id.* at 1379.

The Federal Circuit disagreed, holding that § 102(b)(2)(B)’s “public disclosure” provision does not cover *all* disclosures contemplated in § 102, but rather, only those disclosures that “result in the subject matter of the invention being ‘publicly disclosed.’”⁸⁴ Sanho’s reading, in the court’s view, was contrary to the purpose of § 102(b)(2)(B), which is designed to protect inventors who share their works with the public from later disclosures by others.⁸⁵ The Federal Circuit also rejected Sanho’s appeal to cases like *Egbert v. Lippmann*⁸⁶—which dealt with secret “public uses” under § 102(a)—because § 102(b)(2)(B)’s provision involves a different term (public disclosure, not public use) and serves different purposes than § 102(a). Accordingly, since the sale at issue was purely private, the Court affirmed the Board’s finding that Kuo was prior art not affected by § 102(b)(2)(B).⁸⁷

⁸⁴ *Id.* at 1382.

⁸⁵ *Id.*

⁸⁶ 104 U.S. 333 (1881).

⁸⁷ *Sanho Corp.*, 108 F.4th at 1385.

OBVIOUSNESS

Virtek Vision International ULC v. Assembly Guidance Systems, Inc., 97 F.4th 882 (Fed. Cir. Mar. 27, 2024)

In this appeal from the PTAB, the Federal Circuit affirmed in part and reversed in part a finding of obviousness for various claims in appellant Virtek’s patent directed to “an improved method for aligning a laser projector.”⁸⁸ The Board had found one set of claims reciting “identifying a pattern of the reflective targets on the work surface in a three dimensional coordinate system” obvious over two prior art references which “disclose[d] determining an angular direction of each target” and a third reference (Briggs), which disclosed the missing element “of determining the 3D coordinates of targets.”⁸⁹ However, the Federal Circuit concluded that a skilled artisan would not have been motivated to combine these references, because neither Briggs nor Virtek’s petition “provide[d] any reason why a skilled artisan would use 3D coordinates instead of angular directions in a system.”⁹⁰ The mere fact that both coordinate systems were known in the prior art was insufficient for the court to find that making the substitution was obvious, and it reversed this part of the PTAB’s decision.⁹¹

With respect to another group of claims, the Federal Circuit found that cross-appellee Aligned Vision had failed to prove obviousness for similar reasons.⁹² Aligned Vision argued for the combination of elements from several prior art references, but only on the basis that “a skilled artisan would have been motivated to combine the references as a matter of ‘common sense.’”⁹³ Its only evidence for this proposition was “conclusory” testimony that the various elements were well-known in the art, which the court found insufficient.⁹⁴ Therefore, it affirmed the Board’s finding that Aligned Vision failed to prove this group of claims was obvious.⁹⁵

Inline Plastics Corp. v. Lacerta Group, LLC, 97 F.4th 889 (Fed. Cir. Mar 27, 2024)

In this appeal from the District of Massachusetts, the Federal Circuit concluded that “the district court gave an incorrect jury instruction regarding the objective indicia of nonobviousness.”⁹⁶ At trial, plaintiff Inline had presented evidence of industry praise for its product, copying, and licensing activity.⁹⁷ Inline “specifically requested objective-indicia instructions that included mention” of these factors, but the district court only

⁸⁸ *Virtek Vision International ULC v. Assembly Guidance Systems, Inc.*, 97 F.4th 882 (Fed. Cir. 2024).

⁸⁹ *Id.* at 886.

⁹⁰ *Id.* at 887.

⁹¹ *Id.* at 887-88.

⁹² *Id.* at 889.

⁹³ *Id.* at 888.

⁹⁴ *Id.* at 889.

⁹⁵ *Id.*

⁹⁶ *Inline Plastics Corp. v. Lacerta Group, LLC*, 97 F.4th 889, 897 (Fed. Cir. 2024).

⁹⁷ *Id.* at 898.

instructed the jury as to the “commercial success and long-felt need” objective indicia.⁹⁸ The Federal Circuit found that this error was not harmless, concluding that a reasonable jury might not have found all the asserted claims obvious if it was properly instructed to consider the evidence on industry praise, copying, and licensing, which arguably cut against the objective indicia the jury did consider.⁹⁹ The court therefore vacated the district court's judgment and remanded for a new trial on invalidity.¹⁰⁰

Janssen Pharmaceuticals, Inc. v. Teva Pharmaceuticals USA, Inc., 97 F.4th 915 (Fed. Cir. Apr. 1, 2024)

In this appeal from the District of New Jersey, the Federal Circuit remanded on grounds that the district court’s obviousness analysis was “impermissibly rigid.”¹⁰¹ Having already instructed the district court to correct several claim construction errors, the Federal Circuit explained that the district court additionally erred by considering prior art “without giving the needed weight to the perspective of a POSA capable of deducing what references fairly suggest or employing ordinary creativity.”¹⁰²

First, the court explained that the district court improperly assumed that a POSA would not think to combine a prior art reference with other references if it did not “contain safety and efficacy data” or lacked specific results.¹⁰³ Second, the district court incorrectly assumed that, because a prior art reference did not “hold itself out as flawed,” a POSA would not find it obvious to modify its protocols.¹⁰⁴ Third, the district court identified several differences between the claims at issue and the prior art references, but “cut short” its analysis by not considering whether an “ordinarily creative POSA” would have found the claims obvious in light of the reference regardless of the lack of explicit overlap.¹⁰⁵ Overall, these oversights meant that *KSR*’s mandate to consider the “interrelated teachings” of prior art references, along with the background knowledge and creativity of a POSA, was ignored by the district court.¹⁰⁶

Furthermore, the Federal Circuit found that the district court had applied the wrong standard for “teaching away.” It had concluded that a teaching of an optimal value for particle size was a “criticism of all other particle sizes,” but the Federal Circuit explained that teaching away only occurs when certain values are explicitly discouraged, rather than when a preferred value is merely recommended.¹⁰⁷ The court therefore deemed it necessary to remand on the issue of obviousness, with additional instructions for the district court to revise its analysis of the relevant secondary considerations.¹⁰⁸

⁹⁸ *Id.* at 897-98.

⁹⁹ *Id.* at 899.

¹⁰⁰ *Id.*

¹⁰¹ *Janssen Pharmaceuticals, Inc. v. Teva Pharmaceuticals USA, Inc.*, 97 F.4th 915 (Fed. Cir. 2024).

¹⁰² *Id.* at 928.

¹⁰³ *Id.* at 928-29.

¹⁰⁴ *Id.* at 929.

¹⁰⁵ *Id.* at 931.

¹⁰⁶ *Id.*

¹⁰⁷ *Id.* at 932.

¹⁰⁸ *Id.* at 936.

Salix Pharmaceuticals, Ltd. v. Norwich Pharmaceuticals Inc., 98 F.4th 1056 (Fed. Cir. Apr. 11, 2024)

In this appeal from the District of Delaware, the Federal Circuit affirmed the district court’s findings that two categories of claims—the IBS-D claims and the polymorph claims—were obvious.¹⁰⁹

The IBS-D claims were directed to treating IBS-D with 550 mg of rifaximin, three times daily, for 14 days.¹¹⁰ Norwich challenged this claim as obvious based on a clinical trial protocol (Protocol) and journal article (Pimentel) in the prior art, which, respectively, evaluated a twice-daily dose of 550 mg and endorsed administering 400 mg, three times daily (while opining that the “optimal dosage . . . may, in fact, be higher than that used in our study”).¹¹¹ The district court held that a skilled artisan would have been motivated to combine these references with a reasonable expectation of success, making the claim obvious.¹¹² On appeal, Salix argued that, even though the combination of these references discloses the claimed 1,650 mg/day dosage, that dosage was nonobvious because the only dosage that might reasonably have been successful was the 400 mg, three times daily, regimen evaluated by Pimentel.¹¹³

The Federal Circuit disagreed, since Pimental explicitly taught that the “*optimal dosage . . . may, in fact, be higher*” and other prior art references confirmed that teaching.¹¹⁴ Accordingly, “the combined message that the skilled artisan would have discerned from the Protocol and Pimentel is that the optimal dosage for treating patients suffering from IBS disorders may be higher than 400 mg [three times daily], and the next higher dosage unit from the Protocol was 550 mg,” which is the regimen claimed by the patent.¹¹⁵

The polymorph claims were directed at obtaining the β -form of rifaximin.¹¹⁶ Norwich challenged this claim as obvious based on a prior patent (“Cannata”), which taught that rifaximin exists in crystalline form with “outstanding antibacterial properties.”¹¹⁷ Based on this prior art, the district court held that a skilled artisan would have had good reason to characterize the crystalline form of rifaximin, that the characterization was routine and easy to accomplish, and that doing so would have led the skilled artisan to detect rifaximin form β .¹¹⁸

On appeal, it was undisputed that form β could be readily produced from Cannata, and that the skilled artisan would have had the ability and motivation to do so.¹¹⁹ But Salix argued that form β remained nonobvious because skilled artisans would not have expected to succeed in producing the polymorph because, as of the critical date, the identity of form β was unknown and skilled artisans would not have been able to predict

¹⁰⁹ *Salix Pharms., Ltd. v. Norwich Pharms. Inc.*, 98 F.4th 1056 (Fed. Cir. 2024).

¹¹⁰ *Id.* at 1061.

¹¹¹ *Id.* (quoting prior art).

¹¹² *Id.*

¹¹³ *Id.* at 1062.

¹¹⁴ *Id.* at 1062 (quoting prior art), 1063-64.

¹¹⁵ *Id.* at 1062.

¹¹⁶ *Id.* at 1064.

¹¹⁷ *Id.* (quoting prior art).

¹¹⁸ *Id.* at 1064-65.

¹¹⁹ *Id.* at 1066.

what polymorphic forms might have resulted.¹²⁰ The Federal Circuit rejected this argument, holding that Salix did “no more than” combine known elements of the prior art in order to verify information about a substance that was already known to skilled artisans.¹²¹ In so holding, the court rejected the proposition that discovery of a previously-unknown substance is necessarily nonobvious.¹²²

Allergan USA, Inc. v. MSN Laboratories Private Ltd., 111 F.4th 1358 (Fed. Cir. Aug. 13, 2024)

In this appeal from the District of Delaware, the Federal Circuit reversed the district court’s finding that one of Allergan’s patents was invalid for obviousness-type double patenting (OTDP).¹²³ At issue was a first-filed patent subject to a patent term adjustment period (PTA) that would persist after several continuing patents (without PTAs) would expire.¹²⁴ Explaining that the purpose of the OTDP doctrine is to prevent “prevent patentees from obtaining a *second* patent on a patentably indistinct invention to effectively extend the life of a *first* patent to that subject matter,” the Federal Circuit held that the second-filed, continuing patents did not improperly extend the scope of rights created by the first-filed patent because “the first-filed, first-issued patent in its family . . . is the patent that sets the maximum period of exclusivity for the claimed subject matter and any patentably indistinct variants.”¹²⁵ “To hold otherwise would not only run afoul of the fundamental purposes of ODP, but effectively abrogate the benefit Congress intended to bestow on patentees when codifying PTA,” since it would limit the congressionally-guaranteed, extended terms of parent patents to the shorter terms of their children patents.¹²⁶ The court distinguished its prior decision in *In re Cellect*,¹²⁷ which had held that additional PTA in a *second* patent would extend the term and therefore be subject to obviousness-type double patenting in the absence of a terminal disclaimer of the additional term.

CLAIM CONSTRUCTION

Janssen Pharmaceuticals, Inc. v. Teva Pharmaceuticals USA, Inc., 97 F.4th 915 (Fed. Cir. Apr. 1, 2024)

In this appeal from the District of New Jersey, the Federal Circuit remanded on the issue of obviousness because of errors the district court made in claim construction.¹²⁸

¹²⁰ *Id.*

¹²¹ *Id.* at 1067.

¹²² *Id.* at 1066.

¹²³ *Allergan USA, Inc. v. MSN Laboratories Private Ltd.*, 111 F.4th 1358 (Fed. Cir. Aug. 13, 2024)

¹²⁴ *Id.* at 1368-69.

¹²⁵ *Id.* at 1369.

¹²⁶ *Id.* at 1371.

¹²⁷ 81 F.4th 1216 (Fed. Cir. 2013).

¹²⁸ *Janssen Pharmaceuticals, Inc. v. Teva Pharmaceuticals USA, Inc.*, 97 F.4th 915 (Fed. Cir. 2024).

First, the district court read into claims reciting “a dosing regimen for ‘a psychiatric patient in need of treatment for schizophrenia’” a requirement that the regimen be appropriate for the “general population of patients.”¹²⁹ However, the Federal Circuit agreed with defendant Teva’s argument that the claims did not require the regimen to be used for the general population, reasoning that, on their face, the claims only required the regimen to be used for “a psychiatric patient,” not any generalized group of patients.¹³⁰ Although Teva did describe its claims as being “general dosing regimens,” there was no evidence that “general” was meant to connote that the treatment could be “generalized” population-wide.¹³¹

Second, the court agreed with Teva that the district court improperly read in a limitation that the treatments be administered to patents with “mild renal impairment.”¹³² Since the claims themselves did not specify a “level of renal impairment,” the Federal Circuit held it was improper for the district court to analyze obviousness with this limitation in mind.¹³³ Therefore, the case was remanded for further obviousness analysis consistent with correcting these two errors in claim construction.¹³⁴

¹²⁹ *Id.* at 925.

¹³⁰ *Id.* at 926.

¹³¹ *Id.* at 927.

¹³² *Id.*

¹³³ *Id.* at 928.

¹³⁴ *Id.* at 926-28.

Actelion Pharmaceuticals LTD v. Mylan Pharmaceuticals Inc., 85 F.4th 1167 (Fed. Cir. Nov. 6, 2023)

In this appeal from the Northern District of West Virginia, the Federal Circuit vacated the District Court’s construction of the claim “a pH of 13” as encompassing any values that would be rounded to 13, i.e., numbers from 12.5 to 13.4.¹³⁵ The court first analyzed the plain language of the claim, which claimed “a pH of 13 *or higher*.”¹³⁶ Appellant Mylan argued that this open-ended range “creates a floor at 13” and is not subject to rounding, while appellee Actelion argued that a numerical value includes rounding to the specified number of significant figures—in this case zero—and therefore that the floor reaches as low as 12.5.¹³⁷

The court disagreed with Mylan that an open-ended range necessarily forecloses rounding up to the stated lower bound.¹³⁸ However, it did not adopt Actelion’s lower bound either, finding the specification to be inconsistent regarding the specificity of a pH of “13” and declining to decide whether “the absence of approximation language” in the limitation implied that no approximation or some conventional margin of error was used, finding both interpretations “equally plausible.”¹³⁹ Because the prosecution history was also inconclusive, the Federal Circuit held that the proper claim construction could not “be reached without the aid of extrinsic evidence,” such as textbook excerpts offered by the parties.¹⁴⁰ Since the District Court did not consider any extrinsic evidence, the case was remanded for further consideration of the claim construction issue.¹⁴¹

Google LLC v. EcoFactor, Inc., 92 F.4th 1049 (Fed. Cir. Feb. 7, 2024)

In this appeal from the PTAB, the federal circuit reversed the Board’s construction of a claim limitation regarding “determining a first time prior to said target time . . . based at least in part on” five different inputs.¹⁴² The PTAB determined that each of the five inputs were “distinct component[s] that must be used distinctly” from one another.¹⁴³ However, the Federal Circuit reasoned that the claim language requiring the time to be “based at least in part on” each of the five inputs “place[d] no constraint on the manner in which the inputs are used,” meaning the broadest reasonable interpretation of the claim allows for any of the “five claimed inputs to potentially be used to calculate another claimed input.”¹⁴⁴ Furthermore, the specification did not include any language suggesting the five inputs must be used separately from one another and in fact “contemplate[d] an embodiment in which one claimed input is calculated based on at

¹³⁵ *Actelion Pharmaceuticals LTD v. Mylan Pharmaceuticals Inc.*, 85 F.4th 1167 (Fed. Cir. 2023).

¹³⁶ *Id.* at 1170 (emphasis added).

¹³⁷ *Id.* at 1170-71.

¹³⁸ *Id.* at 1171.

¹³⁹ *Id.*

¹⁴⁰ *Id.* at 1173.

¹⁴¹ *Id.* at 1174.

¹⁴² *Google LLC v. EcoFactor, Inc.*, 92 F.4th 1049 (Fed. Cir. 2024).

¹⁴³ *Id.* at 1057-58 (internal quotation marks omitted).

¹⁴⁴ *Id.* at 1058.

least one other claimed input.”¹⁴⁵ Therefore, the court concluded the intrinsic record provided ample support for a broader claim construction than the PTAB’s and vacated its decision.¹⁴⁶

Chewy, Inc. v. International Business Machines Corporation, 94 F.4th 1354 (Fed. Cir. Mar. 5, 2024)

In this appeal from the Southern District of New York, the Federal Circuit affirmed the district court’s claim construction of the limitation “selectively storing advertising objects at a store established at the reception system” in appellant IBM’s patent directed to web-based advertising.¹⁴⁷ The district court construed this limitation to require the advertising objects to be “pre-fetched,” or stored in anticipation of the need to be displayed.¹⁴⁸ It based this construction on several instances in the specification of “this invention,” “the method,” and “the present invention” being described “as including pre-fetching of advertising objects.”¹⁴⁹

IBM argued that these descriptions should not limit the claim scope, relying on precedent that stated the use of phrases like “this invention” is not limiting when “the references to a certain limitation as being the “invention” are not uniform, or where other portions of the intrinsic evidence do not support applying the limitation to the entire patent.”¹⁵⁰ However, the court found these “narrow exceptions” to be inapplicable, as the prosecution history and patent itself “uniformly refer[] to the pre-fetching of advertising objects as an aspect of the invention.”¹⁵¹ Therefore, the Federal Circuit affirmed the district court’s claim construction requiring advertising objects to be pre-fetched.¹⁵²

***UTTO Inc. v. Metrotech Corp.*, No. 2023-1435, 2024 WL 4522564, at *7 (Fed. Cir. Oct. 18, 2024)**

In this appeal from the Northern District of California, the Federal Circuit vacated the district court’s dismissal of the complaint because the district court had erred in its construction, based on the limited record before it, of the limitation “generating, based on the group of buried asset data points, a two dimensional area comprising the buffer zone” in appellant UTTO’s patent directed to methods for detecting underground utility lines (“buried asset”).¹⁵³ On a motion to dismiss, the district court had construed the “group” phrase in the limitation to require at least two data points per buried asset.¹⁵⁴

¹⁴⁵ *Id.*

¹⁴⁶ *Id.* at 1059.

¹⁴⁷ *Chewy, Inc. v. International Business Machines Corporation*, 94 F.4th 1354 (Fed. Cir. 2024).

¹⁴⁸ *Id.* at 1359.

¹⁴⁹ *Id.* at 1359-60.

¹⁵⁰ *Id.* at 1360 (quoting *Absolute Software, Inc. v. Stealth Signal, Inc.*, 659 F.3d 1121, 1136–37 (Fed. Cir. 2011)).

¹⁵¹ *Id.* at 1360-61.

¹⁵² *Id.* at 1361.

¹⁵³ *UTTO Inc. v. Metrotech Corp.*, No. 2023-1435, 2024 WL 4522564 (Fed. Cir. Oct. 18, 2024).

¹⁵⁴ *Id.* at *4.

The Federal Circuit first held that district courts may engage in claim construction when considering a motion to dismiss.¹⁵⁵ Because claim construction is “properly done based on intrinsic evidence alone in many cases,” the court concluded that there is “is no procedural error in the mere fact that a court has construed claims without conducting a separate *Markman* claim-construction set of proceedings, much less without hearing extrinsic evidence or expert testimony.”¹⁵⁶ The Federal Circuit acknowledged, however, that some “case-specific circumstances” may make claim construction inappropriate at the motion to dismiss stage.¹⁵⁷

The Federal Circuit then held that this case required “fuller claim-construction proceedings and analysis . . . than were provided in and by the district court.”¹⁵⁸ When analyzing the term “group,” the court held that the district court had failed to adequately consider evidence showing that “group” should be construed as “one or more,” even if that construction did not accord with the ordinary and customary meaning of the phrase.¹⁵⁹ In particular, the patent’s specification mentioned the use of “group” in conjunction with “one or more” buried assets, which supported the appellant’s favored construction.¹⁶⁰ Moreover, the Federal Circuit noted that there “may be a role for extrinsic evidence to play” in claim construction on remand, which the district court did not consider at the motion to dismiss.¹⁶¹

¹⁵⁵ *Id.* at *7.

¹⁵⁶ *Id.* at *5-7.

¹⁵⁷ *Id.*

¹⁵⁸ *Id.* at *7.

¹⁵⁹ *Id.* at *9.

¹⁶⁰ *Id.*

¹⁶¹ *Id.* at *10.

INFRINGEMENT

Doctrine of Equivalents

NexStep, Inc. v. Comcast Cable Commc'ns, LLC, 2024 WL 4558613 (Fed. Cir. Oct. 24, 2024)

In this appeal from the District of Delaware, the Federal Circuit affirmed the district's grant of judgment as a matter of law on noninfringement on the '009 patent, which was directed to a "digital butler" that controls consumer electronics based on audio inputs.¹⁶²

At the district court, NexStep presented expert testimony to prove infringement by the doctrine of equivalents, arguing that the infringing product's multi-step sequence was allegedly equivalent to the claimed limitation of "single action."¹⁶³ The Federal Circuit found this insufficient under the means-way-result test because the expert failed to provide "particularized testimony and linking argument as to the insubstantiality of the differences between the claimed invention and the accused device."¹⁶⁴ First, because the expert made only "generalized references" to features in the infringing product, NexStep failed to identify the specific elements that were equivalent to the claimed limitation.¹⁶⁵ Moreover, NexStep's expert failed to explain *why* the function in the infringing device was the same as the claimed limitation.¹⁶⁶ Second, under the way prong of the test, the Federal Circuit held that the expert did not explain the way that the accused product functioned, let alone show that it performed in substantially the same way as the claim limitation.¹⁶⁷ And, for the result prong, the court held that NexStar's testimony was too "generalized, unclear, and unconnected to the claimed invention."¹⁶⁸

For the "insubstantial differences" formulation of the doctrine of equivalents, the Federal Circuit similarly found the expert's testimony insufficient; it failed to "particularly identif[y] *what* specific elements of the accused products are allegedly equivalent to the "single action" limitation nor offered the required testimony explaining *why* those elements were only insubstantially different in light of the claim language reciting what is being avoided by the "single action."¹⁶⁹

Next, the Federal Circuit rejected the contention that NexStar's literal infringement testimony, combined with its doctrine of equivalents evidence, was sufficient to sustain a finding of infringement by the doctrine of equivalents.¹⁷⁰ Though literal infringement evidence can bear on the doctrine of equivalents analysis, the court

¹⁶² *NexStep, Inc. v. Comcast Cable Commc'ns, LLC*, No. 2022-1815, 2024 WL 4558613 (Fed. Cir. Oct. 24, 2024).

¹⁶³ *Id.* at *10.

¹⁶⁴ *Id.* at *9 (citation omitted).

¹⁶⁵ *Id.* at *11.

¹⁶⁶ *Id.* at *12.

¹⁶⁷ *Id.*

¹⁶⁸ *Id.* at *13.

¹⁶⁹ *Id.* at *15.

¹⁷⁰ *Id.*

found the evidence insufficient because, taking it all together, it still failed to provide “particularized testimony and linking argument.”¹⁷¹

Finally, the Federal Circuit rejected NexStar’s invitation to create an exception to the “particularized testimony and linking argument” rule in cases where the technology at issue is easily understandable.¹⁷² Noting that the complexity of the doctrine is present “regardless of the simplicity of the underlying technology,” the court held that “patentees must still present juries with particularized testimony and linking argument to ensure that the jury does not misapply the doctrine and thereby stray beyond the doctrine’s ‘properly limited’ role.”¹⁷³

In dissent, Judge Reyna disagreed with the majority’s decision to “concoct[] a rigid new rule that in all cases a patentee must present expert opinion testimony to prove infringement under the doctrine of equivalents.”¹⁷⁴ The majority disagreed with this characterization, quoting the standard articulated in *AquaTex Industries, Inc. v. Techniche Solutions*: “[B]oth the Supreme Court and this court have made clear that the evidence of equivalents must be from the perspective of someone skilled in the art, for example through testimony of experts or others versed in the technology; *by documents, including texts and treatises*; and, of course, by the disclosures of the prior art.”¹⁷⁵

Judge Reyna also disagreed with the majority’s application of the doctrine of equivalents inquiry, and opined that NexStar’s expert provided substantial evidence of infringement.¹⁷⁶

Inducement

H. Lundbeck A/S v. Lupin Ltd., 87 F.4th 1361 (Fed. Cir. Dec. 7, 2023)

In this appeal from the District of Delaware, the Federal Circuit affirmed the district court’s finding that defendants did not induce infringement of the asserted patents.¹⁷⁷ Plaintiffs patented the drug Trintellix, for which the active ingredient is a salt of vortioxetine, and a method for using it to treat depression.¹⁷⁸ One of these two patents (the “Compound Patents”) has already expired and the other expires in 2026.¹⁷⁹ Plaintiffs later acquired two additional method of use patents (the “Method Patents”) for Trintellix, set to expire in 2032 and 2027, respectively.¹⁸⁰ These patents were listed in the FDA’s Orange Book, after which defendants submitted Abbreviated New Drug Applications

¹⁷¹ *Id.*

¹⁷² *Id.* at *16.

¹⁷³ *Id.*

¹⁷⁴ *Id.* at *21 (Reyna, J., concurring in part and dissenting in part).

¹⁷⁵ *Id.* at *17 (quoting *AquaTex Indus., Inc. v. Techniche Sols.*, 479 F.3d 1320, 1329 (Fed. Cir. 2007)) (cleaned up).

¹⁷⁶ *Id.* at *19-21.

¹⁷⁷ *H. Lundbeck A/S v. Lupin Ltd.*, 87 F.4th 1361 (Fed. Cir. 2023).

¹⁷⁸ *Id.* at 1366.

¹⁷⁹ *Id.*

¹⁸⁰ *Id.*

(ANDAs) seeking to market vortioxetine for treatment of major depressive disorder (MDD) in adults, a broader method of use than the Method Patents contemplate.¹⁸¹

Although the ANDAs are not set to become effective until the Compound Patents both expire, plaintiffs contended that defendants should be enjoined from marketing their generic drugs even for products covered only by the expired patents, as defendants' ANDA labels constitute inducement to infringe the Method Patents.¹⁸² Plaintiffs reasoned that, even if defendants' ANDAs cover different uses not contemplated by the Method Patents, clinicians will still prescribe the ANDA products for the uses in those patents and infringement would thereby be induced.¹⁸³ However, the court explained that "the sale of a drug for a use covered only by patents that will have expired" cannot be prevented "simply by securing a new patent for an additional, narrower use"¹⁸⁴ Instead, plaintiffs would have to prove that defendants' labels constituted "specific intent and action to induce infringement" of the Method Patents themselves.¹⁸⁵

The Federal Circuit concluded that there was insufficient evidence of such specific intent and action because defendants had, pursuant to the Hatch-Waxman Act's rules, "carved out" references to the patient class covered by the Method Patents from their ANDA labels.¹⁸⁶ The court reasoned that removing these references would allow the labels to be marketed without "encourag[ing], recommend[ing], or promot[ing] an infringing use."¹⁸⁷ Furthermore, the court dismissed the contention that clinicians would nevertheless prescribe the drug for infringing uses based on their own background knowledge because this argument does not speak to intent or action on the part of defendants and therefore is not probative of inducement.¹⁸⁸ Thus, the district court's finding that plaintiffs failed to establish inducement was affirmed.¹⁸⁹

§271(e)(1)

Edwards Lifesciences Corporation v. Meril Life Sciences Pvt. Ltd., 96 F.4th 1347 (Fed. Cir. Mar. 25, 2024)

In this appeal from the Northern District of California, the Federal Circuit affirmed a finding of noninfringement of plaintiff Edwards' patent directed to transcatheter heart valve systems.¹⁹⁰ Edwards sued defendant Meril for infringement based on the importation of two heart valve systems its representative had brought from

¹⁸¹ *Id.*

¹⁸² *Id.* at 1370.

¹⁸³ *Id.*

¹⁸⁴ *Id.*

¹⁸⁵ *Id.* at 1372.

¹⁸⁶ *Id.* at 1371.

¹⁸⁷ *Id.* at 1371-72.

¹⁸⁸ *Id.* at 1372.

¹⁸⁹ *Id.*

¹⁹⁰ *Edwards Lifesciences Corporation v. Meril Life Sciences Pvt. Ltd.*, 96 F.4th 1347 (Fed. Cir. 2024).

India to a conference in the United States.¹⁹¹ These valve systems were brought as samples to have on hand while Meril attempted to recruit physicians from the conference to help with its FDA premarket approval application for the technology.¹⁹² These systems were never sold or offered for sale, and in fact were never even shown to members of the public.¹⁹³

The district court granted Meril a motion for summary judgment on grounds that 35 U.S.C. § 271(e)(1), which provides a safe harbor for otherwise infringing activities engaged in “solely for uses reasonably related to the development and submission of information under a Federal law which regulates the manufacture, use, or sale of drugs”¹⁹⁴ The Federal Circuit explained that § 271(e)(1) has been interpreted such that the safe harbor applies regardless of the intention behind the allegedly infringing activity, so long as the activity itself ““was reasonably related to developing information for FDA submission.””¹⁹⁵ Therefore, it agreed with the district court that the safe harbor applied to Meril’s importation of the valve systems because this importation was related to Meril’s efforts to obtain FDA approval, dismissing Edwards’ contentions that Meril had unrelated commercial motivations.¹⁹⁶

Edwards additionally argued that “§ 271(e)(1) requires a use distinct from the otherwise infringing acts” for its safe harbor to apply.¹⁹⁷ The court rejected this argument by looking to the text of the rule, which lists each of the possible infringing acts separately and does not require that the “uses reasonably related to the development and submission of information” be “actual use[s]” in the patent infringement sense.¹⁹⁸ Therefore, the Federal Circuit concluded that Meril was shielded from infringement liability by the § 271(e)(1) safe harbor and affirmed the district court’s decision.¹⁹⁹

Judge Lourie dissented, pointing out that whatever the policy merits of the result, it did not fit with the language of the statute.

International Trade Commission

Zircon Corp. v. International Trade Commission, 101 F.4th 817 (Fed. Cir. May 8, 2024)

In this appeal from the International Trade Commission, the Federal Circuit affirmed the Commission’s finding that Section 337 of the Tariff Act had not been violated because the “domestic industry” requirement failed.²⁰⁰ To establish a section 337 violation—which prohibits the importation, sale for importation, or sale after importation

¹⁹¹ *Id.* at 1349-50.

¹⁹² *Id.* at 1350.

¹⁹³ *Id.*

¹⁹⁴ *Id.* at 1351.

¹⁹⁵ *Id.* at 1352 (quoting *Amgen Inc. v. Hospira, Inc.*, 944 F.3d 1327, 1339 (Fed. Cir. 2019)).

¹⁹⁶ *Id.* at 1353-55.

¹⁹⁷ *Id.* at 1355.

¹⁹⁸ *Id.* at 1356.

¹⁹⁹ *Id.* at 1357.

²⁰⁰ *Zircon Corp. v. International Trade Commission*, 101 F.4th 817 (Fed. Cir. 2024).

of infringing goods²⁰¹—Zircon was required to show that “an industry in the United States, relating to the articles protected by the patent . . . exists or is in the process of being established,” referred to as the “domestic industry” requirement.²⁰² In turn, the domestic industry provision requires showing that “the articles protected by the patent” involve “(A) significant [domestic] investment in plant and equipment; (B) significant [domestic] employment of labor or capital; or (C) substantial [domestic] investment in its exploitation, including engineering, research and development, or licensing.”²⁰³

Zircon alleged that it met the “domestic industry” requirement “based on its investment in plant and equipment, its employment of labor and capital, and its investment in the exploitation of the asserted patents.”²⁰⁴ The Commission disagreed because Zircon had “relied on evidence of its cumulative expenditures on *all* 53 of its domestic industry products,” but not all of these products practiced the patents.²⁰⁵ Thus, since Zircon “did not allocate its [domestic] expenditures . . . with respect to . . . each of the asserted patents,” the Commission could not “evaluate the significance of Zircon’s investments with respect to each asserted patent” in isolation.²⁰⁶

On appeal, the Federal Circuit agreed with the Commission, holding that “in cases in which the complainant’s products or groups of products each practice different patents, the complainant would need to establish separate domestic industries for each of those different groups of products.”²⁰⁷ The Federal Circuit concluded that the “domestic industry” requirement requires a complainant to “identify, in some manner, how much of its investment in each statutory category was attributable to each group of products” that practiced the patents.²⁰⁸

²⁰¹ 19 U.S.C. § 1337(a)(1)(B)(i).

²⁰² *Id.* § 1337(a)(2).

²⁰³ *Id.* § 1337(a)(3)(A)–(C).

²⁰⁴ *Zircon Corp.*, 101 F.4th at 820.

²⁰⁵ *Id.* at 822 (emphasis added).

²⁰⁶ *Id.*

²⁰⁷ *Id.* at 824.

²⁰⁸ *Id.* at 826.

DEFENSES

License Defense

VLSI Technology LLC v. Intel Corporation, 87 F.4th 1332 (Fed. Cir. Dec. 4, 2023)

In this appeal from the Western District of Texas, the Federal Circuit granted appellant Intel leave to amend its answer to assert a license defense.²⁰⁹ In September 2020, Intel filed a motion to stay the litigation, arguing it had newly acquired a license defense on account of Fortress Investment Group LLC, which controls appellee VLSI, acquiring Finjan, a company which had licensed its patents to Intel in 2012.²¹⁰ Intel's agreement with Finjan granted Intel a license to the patents of Finjan and any "Affiliates," defined to include entities under common control with Finjan, which encompassed VLSI as of July 2020, when Fortress acquired Finjan.²¹¹

The District Court denied Intel's motion on grounds the defense was futile, reasoning that the 2012 license was governed by Delaware law, which states that "a non-party to a contract is not bound by that contract."²¹² However, the Federal Circuit analyzed relevant Delaware court precedent and found that exceptions exist to this rule under which obligations may be imposed on the "affiliates" of contracting parties.²¹³ Given these exceptions, the court reasoned VLSI could potentially be bound by the license now that it and Finjan were commonly controlled, making a determination of futility inappropriate.²¹⁴ The case was therefore remanded and the denial of Intel's motion to leave was reversed so its license defense could be fully considered.²¹⁵

Inequitable Conduct and Unclean Hands

Freshub, Inc. v. Amazon.com, Inc., 2024 WL 761779 (Fed. Cir. Feb. 24, 2024)

In this appeal from the Western District of Texas, the Federal Circuit determined that the district court did not commit clear error in its rejection of defendant Amazon's inequitable conduct defense.²¹⁶ Prevailing on this defense requires proof of clear and convincing evidence that the patent applicant "misrepresented or omitted material information with the specific intent to deceive the PTO."²¹⁷ Although counsel for Ikan,

²⁰⁹ *VLSI Technology LLC v. Intel Corporation*, 87 F.4th 1332 (Fed. Cir. 2023).

²¹⁰ *Id.* at 1349-50.

²¹¹ *Id.* at 1350.

²¹² *Id.* at 1351.

²¹³ *Id.* at 1351-52.

²¹⁴ *Id.* at 1352.

²¹⁵ *Id.*

²¹⁶ *Freshub, Inc. v. Amazon.com, Inc.*, 2024 WL 761779 (Fed. Cir. 2024).

²¹⁷ *Id.* at *6 (quoting *Therasense, Inc. v. Becton, Dickinson and Co.*, 649 F.3d 1276, 1287 (Fed. Cir. 2011)).

the parent company of plaintiff Freshub, did make a materially false statement by denying the patent at issue was abandoned intentionally after a five-year period in which Freshub did not respond to examiner notices, the court held that Amazon failed to prove the required deceptive intent.²¹⁸

It explained that the relevant inquiry was into Ikan's intent during a period of non-response to the PTO ranging from 2012-2017.²¹⁹ Amazon provided evidence that Ikan's counsel communicated with the company several times regarding the patent during this period but never received a reply to continue prosecution.²²⁰ However, the court held that this evidence was insufficient to demonstrate knowing authorization of abandonment on the part of Ikan, as it is possible the relevant Ikan decisionmakers never received or understood the communications.²²¹ Therefore, the attorney may have genuinely believed Ikan did not intend to abandon the application and, in that case, would not have made his statement with deceptive intent.²²² On this basis, the Federal Circuit affirmed the district court's holding that deceptive intent was not proven.²²³

Luv n' Care, Ltd. v. Laurain, 98 F.4th 1081 (Fed. Cir. Apr. 12, 2024)

In this appeal from the Western District of Louisiana, the Federal Circuit affirmed the district court's finding that the doctrine of unclean hands barred counter-claimant Eazy-PZ, LLC ("EZPZ") from seeking relief.²²⁴ It also vacated the district court's finding that plaintiff Luv N' Care ("LNC") failed to prove that a patent held by EZPZ was unenforceable due to inequitable conduct.²²⁵

The district court had found unclean hands on grounds that EZPZ failed to disclose relevant patent applications to LNC, concealed relevant prior art searches, and gave "purposely evasive" or false testimony on several occasions.²²⁶ EZPZ argued that this misconduct did not rise to the level of "unconscionable acts" or, alternatively, it did not "bear[] an immediate and necessary connection to EZPZ's claims for infringement" and should therefore not trigger unclean hands.²²⁷ However, the Federal Circuit agreed with the district court that EZPZ engaged in "deceit and reprehensible conduct . . . to gain an unfair advantage," and thus found it was not clear error to deem its behavior unconscionable.²²⁸ It also agreed that the conduct was necessarily connected to the claims at issue, as EZPZ's knowing concealment of information from LNC affected the

²¹⁸ *Id.*

²¹⁹ *Id.* at *7.

²²⁰ *Id.*

²²¹ *Id.*

²²² *Id.* at *8.

²²³ *Id.* at *8.

²²⁴ *Luv n' Care, Ltd. v. Laurain*, 98 F.4th 1081, 1094 (Fed. Cir. 2024).

²²⁵ *Id.* at 1096.

²²⁶ *Id.* at 1095.

²²⁷ *Id.*

²²⁸ *Id.*

litigation of all EZPZ’s claims.²²⁹ The Federal Circuit therefore affirmed the unclean hands judgment below.²³⁰

On the issue of inequitable conduct, the Federal Circuit found two errors in the district court’s analysis.²³¹ First, it explained that “affirmative egregious misconduct” satisfies the materiality requirement for inequitable conduct automatically, but that the district court did not analyze materiality as a “separate requirement” from deceptive intent to see if such misconduct occurred.²³² Next, the Federal Circuit explained that the district court applied the wrong standard to the deceptive intent inquiry, as it considered several of EZPZ’s misrepresentations to the PTO in isolation without recognizing that a pattern of misconduct can, as a whole, demonstrate deceptive intent even when each individual act does not.²³³ It also found the district court had insufficiently analyzed the intent behind several of these misrepresentations, a critical part of the deceptive intent inquiry.²³⁴ Thus, the Federal Circuit vacated the district court’s finding that LNC failed to prove inequitable conduct and remanded.²³⁵

Staton Techiya v. Samsung, No. 21-cv-00413, Dkt. No. 933 (E.D. Tex. May 24, 2024)

After conducting a bench trial in the Eastern District of Texas, the court found that Samsung had established that Techiya’s patents were unenforceable due to unclean hands by clear and convincing evidence and entered judgment in Samsung’s favor.²³⁶

The district court found that Techiya exclusively licensed its patents to Synergy IP²³⁷—a patent assertion entity created by two former Samsung attorneys²³⁸—and those Synergy attorneys, in turn, used Samsung’s confidential and privileged information in order to help Techiya litigate its claim against Samsung.²³⁹ Specifically, the court found that these former Samsung attorneys used confidential information learned during the scope of their previous employment,²⁴⁰ unlawfully solicited confidential information from a current Samsung employee about the patents-in-suit (which resulted in a Korean criminal investigation),²⁴¹ and used that information to prosecute the litigation.²⁴² The Synergy attorneys also took various steps to cover up their misconduct.²⁴³

²²⁹ *Id.* at 1096.

²³⁰ *Id.*

²³¹ *Id.* at 1097-99.

²³² *Id.* at 1097.

²³³ *Id.* at 1098.

²³⁴ *Id.* at 1099.

²³⁵ *Id.*

²³⁶ *Staton Techiya v. Samsung*, No. 21-cv-00413, Dkt. No. 933, at *1-2 (E.D. Tex. May 24, 2024).

²³⁷ *Id.* at 104-05.

²³⁸ *Id.* at 18-22.

²³⁹ *Id.* at 2-3.

²⁴⁰ *Id.* at 22-24.

²⁴¹ *Id.* at 26-35.

²⁴² *Id.* at 43.

²⁴³ *Id.* at 86-87.

This conduct—including “stealing the opponent’s privileged and confidential analyses of the patents-in-suit both before and during the litigation,” breaching fiduciary duties,²⁴⁴ lying in pleadings and depositions,²⁴⁵ and subverting discovery through spoliation and other means²⁴⁶—exceeded the degree of misconduct that warranted application of the unclean hands doctrine in prior precedent.²⁴⁷ And since Synergy acted as Techiya’s agent before and during the litigation, the court held that Synergy’s unclean hands were imputable to Techiya.²⁴⁸ Finally, the court held that dismissal with prejudice was the proper remedy, since the plaintiff’s bad faith conduct “infected” the entire case and mere monetary sanctions were not sufficient to cure the irreparable harm incurred by Samsung, restore the integrity of the litigation, or punish the plaintiffs for their misconduct.²⁴⁹

²⁴⁴ *Id.* at 84-85.

²⁴⁵ *Id.* at 86.

²⁴⁶ *Id.* at 86-87.

²⁴⁷ *Id.* at 83.

²⁴⁸ *Id.* at 89-97.

²⁴⁹ *Id.* at 97-99.

REMEDIES

Damages

Brumfield, Trustee for Ascent Trust v. IBG LLC, 97 F.4th 854 (Fed. Cir. Mar. 27, 2024)

In this appeal from the Northern District of Illinois, the Federal Circuit affirmed the denial of plaintiff Trading Technologies International’s (“TT’s”) post-trial motion for a new damages trial.²⁵⁰ TT’s damages expert had argued at trial that it “should recover foreign damages flowing from [m]aking the Accused Products in the United States.”²⁵¹ In that regard, the Federal Circuit explained that the determination of whether patent damages should be awarded “based partly on conduct abroad” is now governed by the two-step framework outlined by the Supreme Court in *WesternGeco LLC v. ION Geophysical Corp.*, 585 U.S. 407 (2018).²⁵² The first step is to start with a presumption that the applicable statute “lacks extraterritorial reach” and then analyze whether that presumption has been rebutted.²⁵³ The second step is to analyze the statute’s “focus” and determine whether the conduct relevant to that focus is domestic.²⁵⁴ If so, a patentee can recover for lost *foreign* profits without violating extraterritoriality, because the infringing actions causing those losses will be considered *domestic* conduct.²⁵⁵

As a preliminary matter, the Federal Circuit clarified that the *WesternGeco* framework applied to the present suit, which concerned infringement under 35 U.S.C. § 271(a), despite *WesternGeco* itself being a case about infringement under §271(f), as both types of infringement involve “domestic act[s].”²⁵⁶ It also explained that *WesternGeco* should govern the instant case regarding reasonable royalties, despite being a case about lost profits, as the Supreme Court did not distinguish between forms of damages in its analysis.²⁵⁷ However, the Federal Circuit was careful to note that, for reasonable royalty cases in particular, “foreign conduct that is not itself infringing” must cause the value of domestic infringement to increase to be included in the damages calculation, as otherwise it would not be relevant to the hypothetical domestic licensing negotiations that a reasonable royalty determination envisions.²⁵⁸ It left further consideration of the complications introduced by this causation requirement to future cases.²⁵⁹

Applying the above framework to the instant case, the court found it dispositive that the infringement asserted by TT, “Making the Accused Product,” did not have the needed causal relationship to the foreign conduct at issue.²⁶⁰ The patent at issue had two

²⁵⁰ *Brumfield, Trustee for Ascent Trust v. IBG LLC*, 97 F.4th 854 (Fed. Cir. 2024).

²⁵¹ *Id.* at 870 (internal quotation marks omitted).

²⁵² *Id.* at 871-72.

²⁵³ *Id.* at 872.

²⁵⁴ *Id.* at 873.

²⁵⁵ *Id.* at 872-73.

²⁵⁶ *Id.* at 875.

²⁵⁷ *Id.* at 875-76.

²⁵⁸ *Id.* at 877.

²⁵⁹ *Id.* at 878.

²⁶⁰ *Id.* at 878-79.

groups of claims, one directed to a method and the other to software implemented on a computer.²⁶¹ Patent law does not recognize a means of “making” a method, meaning infringement must be based on the computer claim, but TT only alleged that defendant IBG distributed infringing software, which is not equivalent to making copies of a software *on a computer*.²⁶² Thus, the court found there was no act of infringement from which a causal connection to the foreign conduct could be drawn and affirmed the district court’s judgment.²⁶³

EcoFactor, Inc. v. Google LLC, 104 F.4th 243 (Fed. Cir. June 3, 2024)

In this appeal from the Western District of Texas, the Federal Circuit affirmed the district court’s award of reasonable royalty damages to EcoFactor.²⁶⁴ This panel decision, however, was vacated when the Federal Circuit granted Google’s motion for rehearing en banc.²⁶⁵ The case is now pending en banc resolution.

On appeal, Google first argued that a new trial on damages was warranted because EcoFactor’s damages expert, Kennedy, lacked reliability methodology and underlying calculations, and thus, should have been excluded.²⁶⁶ Kennedy had used the “hypothetical negotiation” model for calculating reasonable royalty damages.²⁶⁷ In Google’s view, Kennedy’s proposed per unit royalty rate had been “plucked” from nowhere and was unsupported by sound methodology.²⁶⁸ But the Federal Circuit panel disagreed, observing that Kennedy’s rate was based on the rate contemplated in three license agreements EcoFactor had reached with other licensees, as well as testimony and documents describing the nature of the market.²⁶⁹ Because this evidence “sufficiently tied” Kennedy’s proposed rate to the “facts of the case,” the Federal Circuit ruled that his testimony was sufficiently reliable to be admitted.²⁷⁰

Google next argued that Kennedy’s testimony should have been excluded for lack of severability and apportionment.²⁷¹ While the three license agreements referenced by Kennedy were technically comparable to the hypothetical license, Google contended that they were not economically comparable because those three actual license agreements were for EcoFactor’s *entire* patent portfolio, whereas the hypothetical license concerned only the single patent-in-suit.²⁷² Agreeing with the basic principle that damages owed “must reflect the value of only the patented improvement,” the panel still held that Kennedy had properly set the royalty rate based on the value of the patent itself.²⁷³ Even

²⁶¹ *Id.* at 879.

²⁶² *Id.* at 879-80.

²⁶³ *Id.* at 882.

²⁶⁴ *Ecofactor, Inc. v. Google LLC*, 104 F.4th 243 (Fed. Cir. June 3, 2024).

²⁶⁵ *EcoFactor, Inc. v. Google LLC*, 2024 WL 4282269 (Mem.) (Fed. Cir. Sept. 25, 2024).

²⁶⁶ *Id.* at 250.

²⁶⁷ *Id.* at 251.

²⁶⁸ *Id.* at 252.

²⁶⁹ *Id.* at 252-53.

²⁷⁰ *Id.* at 253-54.

²⁷¹ *Id.* at 254.

²⁷² *Id.*

²⁷³ *Id.* at 254-55.

though the three license agreements were of different value than the hypothetical license agreements, the court held that Kennedy “accounted” for such differences by decreasing the royalty rate and considering that, in the actual licensing agreements, the rate had been discounted based on the risk that the patents would not be found not infringed or invalid.²⁷⁴ In addition, Kennedy conducted a profit analysis using Google’s data to show the amount of profit per unit that could be attributed to the patent, which supported increasing the royalty rate. The Federal Circuit held that, using these data, Kennedy had sufficient grounds to provide a reliable opinion as to the royalty rate, making his testimony admissible.²⁷⁵

In dissent, Judge Prost sided with Google.²⁷⁶ Judge Prost emphasized that the prior three licensing agreements involved *lump-sum* payments, not per-unit royalties; language in these agreements concerning per-unit royalties were not actually assented to by the parties.²⁷⁷ Rather, the royalty rates were merely EcoFactor’s preambular representations as to what it *believed* would be a reasonably royalty calculation.²⁷⁸ In Judge Prost’s view, those “self-serving recitals reflect only EcoFactor’s transparent attempt to manufacture a royalty rate using its ‘belief.’”²⁷⁹ Even setting that issue aside, Judge Prost asserted that these three licensing agreements were not comparable to the hypothetical licensing agreement. Contrary to the majority’s view, Judge Prost opined that Kennedy had failed to account for the specific effects of other patents that were the subject of previous licensing agreements, but not at issue; instead, Kennedy accounted for these merely by general appeal to industry practice and generic price effects, without considering the specific effects the other patents would have had on the hypothetical negotiation.²⁸⁰ For those reasons, Judge Prost would have reversed and granted Google a new trial on damages.²⁸¹

***Provisur Techs., Inc. v. Weber, Inc.*, No. 2023-1438, 2024 WL 4363502 (Fed. Cir. Oct. 2, 2024)**

In this appeal from the Western District of Missouri, the Federal Circuit reversed a \$10.5 million jury verdict in Provisur’s favor.²⁸² Provisur had accused certain components of Weber’s meat and cheese slicers of infringement.²⁸³

The Federal Circuit held that the district court had erred in allowing the royalty rate to be calculated using the entire market value rule because Provisur had failed to

²⁷⁴ *Id.* at 255.

²⁷⁵ *Id.* at 256-57.

²⁷⁶ *Id.* at 257 (Prost, J., dissenting in part).

²⁷⁷ *Id.* (Prost, J., dissenting in part).

²⁷⁸ *Id.* at 258 (Prost, J., dissenting in part).

²⁷⁹ *Id.* at 259 (Prost, J., dissenting in part).

²⁸⁰ *Id.* at 260-61 (Prost, J., dissenting in part).

²⁸¹ *Id.* at 262 (Prost, J., dissenting in part).

²⁸² *Provisur Techs., Inc. v. Weber, Inc.*, No. 2023-1438, 2024 WL 4363502 (Fed. Cir. Oct. 2, 2024).

²⁸³ *Id.* at *6.

show that the patented features drove market demand for the entire line of products.²⁸⁴ Provisur’s expert had shown that various features of the product were “conventional,” whereas the patented features were “unique selling points.”²⁸⁵ But still, the court noted, these “conventional” factors could provide value and drive demand, such that apportionment would be required.²⁸⁶ Moreover, Provisur provided no market studies or consumer surveys to determine whether the patented features drove demand.²⁸⁷ Because the “patented technology is just one small component of one of the machines, and no other evidence supports the notion that this small component of just one portion of such a large system ever drove customer demand,” the court held it was an abuse of discretion to apply the entire market value rule.²⁸⁸

Willfulness

***Provisur Techs., Inc. v. Weber, Inc.*, No. 2023-1438, 2024 WL 4363502 (Fed. Cir. Oct. 2, 2024)**

In this appeal from the Western District of Missouri, the Federal Circuit reversed the district court’s denial of judgment as a matter of law on nonwillfulness because the district court had improperly considered evidence in violation of 35 U.S.C. § 298.²⁸⁹

At trial, Provisur’s expert had testified about Weber’s failure to consult a third party to evaluate the allegedly infringed patents, including by conducting a freedom to operate analysis under supervision of a patent attorney.²⁹⁰ On appeal, Provisur argued that this testimony was simply about industry standards, and did not amount to commenting on Weber’s failure to seek advice of counsel.²⁹¹ The Federal Circuit disagreed, noting that the expert “did not distinguish between legal and non-legal services when testifying about consulting a third party” and could not circumvent § 298 “by substituting advice from a third party for advice of counsel.”²⁹²

The remaining evidence, the court held, was insufficient to prove willfulness, since it only showed Weber’s knowledge of the asserted patents and fell short of proving that Weber knew that it was infringing and intended to infringe.²⁹³

²⁸⁴ *Id.* at *6.

²⁸⁵ *Id.* at *6.

²⁸⁶ *Id.*

²⁸⁷ *Id.* at *7.

²⁸⁸ *Id.*

²⁸⁹ *Provisur Techs., Inc. v. Weber, Inc.*, No. 2023-1438, 2024 WL 4363502 (Fed. Cir. Oct. 2, 2024).

²⁹⁰ *Id.* at *4.

²⁹¹ *Id.* at *5.

²⁹² *Id.* at *5.

²⁹³ *Id.*

PRACTICE AND PROCEDURE

Venue and Transfer

In re Samsung Electronics Co., Ltd., 2023 WL 8642711 (Fed. Cir. Dec 14, 2023)

In this petition for Writ of Mandamus from the Western District of Texas (WDTX), the Federal Circuit held that the district court’s denial of petitioner Samsung’s motion to transfer was a clear abuse of discretion.²⁹⁴ Samsung moved to transfer to the Northern District of California (NDCA), as employees who “developed and maintain the functionality at the center of the infringement allegations [were] in NDCA or Korea.”²⁹⁵ Evaluating the motion under Fifth Circuit law, the federal circuit explained that transfer “should be granted if the movant demonstrates that the transferee venue is clearly more convenient.”²⁹⁶

The Federal Circuit agreed with the district court’s finding that the compulsory process factor favored transfer, as several key non-party witnesses could only be compelled to appear in NDCA.²⁹⁷ It also agreed that the local interest factor favored transfer, as the accused functionality and patented technology were both developed in NDCA, with no “comparable connection” existing in WDTX.²⁹⁸ However, the Federal Circuit disagreed with the district court that the willing witness and practical problems factors weighed against transfer.²⁹⁹ It explained that the willing witness factor favored transfer because no potential witnesses had been identified in WDTX and NDCA would be more convenient for all the potential witnesses, who either lived there or in Korea.³⁰⁰ The practical problems factor also favored transfer because similar cases brought by plaintiff DoDots in WDTX had either been stayed or transferred to NDCA, giving the transferee forum the edge on judicial economy.³⁰¹ Finding that the remaining factors were properly deemed neutral by the district court, the Federal Circuit concluded the district court had clearly abused its discretion in denying the motion to transfer because several factors favored NDCA while none favored WDTX.³⁰²

In re Honeywell International Inc., 2024 WL 302397 (Fed. Cir. Jan. 26, 2024)

In this petition for Writ of Mandamus from the Western District of Texas (WDTX), the Federal Circuit held that the district court’s denial of petitioner Honeywell’s motion to transfer was a clear abuse of discretion.³⁰³ Honeywell moved to

²⁹⁴ *In re Samsung Electronics Co., Ltd.*, 2023 WL 8642711 (Fed. Cir. 2023).

²⁹⁵ *Id.* at *1.

²⁹⁶ *Id.* (quoting *In re Radmax, Ltd.*, 720 F.3d 285, 288 (5th Cir. 2013)).

²⁹⁷ *Id.* at *2.

²⁹⁸ *Id.*

²⁹⁹ *Id.*

³⁰⁰ *Id.*

³⁰¹ *Id.*

³⁰² *Id.* at *3.

³⁰³ *In re Honeywell International Inc.*, 2024 WL 302397 (Fed. Cir. 2024).

transfer on grounds that various devices accused of infringement were made and sold by its subsidiary, Hand Held Products, which is headquartered in the Western District of North Carolina (WDNC).³⁰⁴ Evaluating the motion under Fifth Circuit law, the federal circuit explained that transfer “should be granted if the movant demonstrates that the transferee venue is clearly more convenient.”³⁰⁵

The court concluded that several factors favored transfer to WDNC: the local interest factor because the Honeywell/Hand Held employees involved with the accused products resided there, the sources of proof factor because the custodians of relevant records resided there, and the location of witnesses factor because several key Hand Held employees lived within 100 miles of the transferee venue.³⁰⁶ Although plaintiff Lone Star had argued some of its employees were located in WDTX, the district was not their permanent residence and they would need to travel over 100 miles to either venue, nor was it clear what relevant information they had, giving this fact less weight than the location of Hand Held’s witnesses.³⁰⁷ Additionally, the district court had denied transfer primarily for judicial economy reasons, as other suits by Lone Star had already been heard by the court.³⁰⁸ However, given the lack of “legitimate mooring” to WDTX based on “the location of parties, witnesses, or evidence,” the Federal Circuit found any “‘incremental gains’ in judicial economy” to be outweighed and granted the petition.³⁰⁹

In re Datanet LLC, 2024 WL 4141612 (Fed. Cir. Sept. 11, 2024)

In this petition for Writ of Mandamus from the Western District of Texas (WDTX), the Federal Circuit held that the district court had properly transferred the case from WDTX to the Northern District of California (NDCA).³¹⁰ Though the magistrate judge had initially recommended that the case proceed in WDTX and that the transfer motion be denied, the district judge reviewing the recommendation found this analysis erroneous and ordered transfer to NDCA.³¹¹ Reviewing the motion under Fifth Circuit law, the Federal Circuit explained that it would “not disturb a transfer decision unless it is clear ‘that the facts and circumstances are without any basis for a judgment of discretion.’”³¹² Under that highly deferential standard, the Federal Circuit affirmed the district court’s order to transfer the case to NDCA, since the accused technology was designed and marketed there and several party and non-party witnesses and custodians of evidence were also present there.³¹³

³⁰⁴ *Id.* at *1.

³⁰⁵ *Id.* at *2 (quoting *In re Radmax, Ltd.*, 720 F.3d 285, 288 (5th Cir. 2013)).

³⁰⁶ *Id.*

³⁰⁷ *Id.* at *3.

³⁰⁸ *Id.*

³⁰⁹ *Id.* (quoting *In re Samsung Elecs. Co., Ltd.*, 2 F.4th 1371, 1380 (Fed. Cir. 2021)).

³¹⁰ *In re Datanet LLC*, No. 2024-137, 2024 WL 4141612, at *1 (Fed. Cir. Sept. 11, 2024).

³¹¹ *Id.*

³¹² *Id.* (quoting *In re Volkswagen of Am., Inc.*, 545 F.3d 304, 312 n.7 (5th Cir. 2008) (en banc)).

³¹³ *Id.*

In re Apple Inc., 2024 WL 3886316 (Fed. Cir. Aug. 21, 2024)

In this petition for Writ of Mandamus from the Western District of Texas (WDTX), the Federal Circuit held that the district court had properly declined to transfer the case to the Northern District of California (NDCA).³¹⁴ At the district court, Apple argued that transfer was warranted because, according to a declaration from an Apple engineer, the Apple engineers who researched, designed, developed, and implemented the relevant feature of the accused products were located in California.³¹⁵ The district court disagreed because the engineer's declaration was deficient and the suppliers of component parts to Apple for the accused products were located in WDTX.³¹⁶ Reviewing the motion under Fifth Circuit law, the Federal Circuit explained that "transfer 'is properly granted only if the moving party clearly establishes good cause by clearly demonstrating that a transfer is for the convenience of parties and witnesses, in the interest of justice.'"³¹⁷ Under that highly deferential standard, the Federal Circuit held that the district court "reasonably found" that WDTX would be more convenient and Apple's evidence to the contrary was "plausibly . . . deficien[t]"³¹⁸

Xockets v. Nvidia, No. 24-cv-453, Dkt. 61 (W.D. Tex. Sept. 17, 2024)

In this case pending in the Western District of Texas, the district court reassigned the case to a randomly assigned district judge in the Western District pursuant to the Western District's May 30, 2024 Order Assigning The Business Of The Court As It Relates To Patent Cases.³¹⁹ Xockets had attempted to avoid reassignment under the May 30, 2024 Order by alleging only antitrust violations in their complaint.³²⁰ That same very day, Xockets filed an amended complaint adding seven patent causes of action.³²¹ Based on that amended complaint, the court found that the case "involve[ed] patents" and therefore was subject to the May 30, 2024 Reassignment Order.

³¹⁴ *In re Apple Inc.*, No. 2024-129, 2024 WL 3886316, at *1 (Fed. Cir. Aug. 21, 2024).

³¹⁵ *Id.*

³¹⁶ *Id.*

³¹⁷ *Id.* (quoting *In re Clarke*, 94 F.4th 502, 508 (5th Cir. 2024) (cleaned up)).

³¹⁸ *Id.* at *2.

³¹⁹ *Xockets v. Nvidia*, No. 24-cv-453, Dkt. 61 (W.D. Tex. Sept. 17, 2024); *see also* Order Assigning the Business of the Court as it Relates to Patent Cases (W.D. Tex, May 30, 2024), <https://www.txwd.uscourts.gov/wp-content/uploads/2024/05/Order-re-Patent-Cases-05302024.pdf>.

³²⁰ *Id.*, Dkt. 1

³²¹ *Id.*, Dkt. 61.

Disclosure of Controlling Entities

Nimitz Technologies LLC v. CNET Media, Inc., 2023 WL 8187441 (D. Del., Nov. 27, 2023)

In this memorandum opinion from the District of Delaware, Chief Judge Connolly referred attorneys of record for plaintiffs Nimitz, Mellaconic, and Lamplight to the disciplinary counsel of their respective bars, and notified the Texas Supreme Court's Unauthorized Practice of Law Committee, United States Department of Justice, and the United States Patent & Trademark Office of potentially unlawful activity.³²² Through a series of twelve related cases, Judge Connolly had grown concerned that all three plaintiffs had undisclosed financial relationships with an entity called IP Edge and that it, along with a related entity called Mavexar, may be the real parties in interest in those cases.³²³ On November 10, 2022, he issued a memorandum order in each case calling for plaintiffs to produce documents that would address their relationship with IP Edge and Mavexar.³²⁴ After this order was unsuccessfully challenged several times, plaintiffs finally produced documents in response to the order in April and May of 2023.³²⁵ These document led Judge Connolly to conclude that several violations of the rules of professional conduct and failures of disclosure had occurred.³²⁶

With regards to plaintiffs' lawyers, Judge Connolly found that they failed to communicate with their clients "before filing, settling, and dismissing [their] cases."³²⁷ He also concluded that the lawyers failed to properly address conflicts of interest that arose from the fact that plaintiffs had apparently assigned nearly all of the profits obtained from assertion of the patents at issue (up to 95%) to Mavexar while agreeing to assume the associated liabilities themselves.³²⁸ This arrangement created a dynamic where Mavexar/IP Edge "had virtually nothing to lose and everything to gain," while the opposite was true for plaintiffs, making it obvious that the interests of Mavexar/IP Edge and plaintiffs were not aligned.³²⁹ Therefore, plaintiffs' lawyers, who took instructions exclusively from Mavexar and failed to gain informed consent for this arrangement from their actual clients, clearly violated their fiduciary duties.³³⁰

Judge Connolly also identified several lawyers who worked for Mavexar/IP Edge and appeared to be the individuals that truly directed the litigation strategy of plaintiffs, even performing legal tasks such as creating claim charts, conducting and analyzing legal research, and preparing the owners of plaintiff corporations for testimony.³³¹ These attorneys, as in-house counsel for Mavexar/IP Edge, were only authorized to provide

³²² *Nimitz Technologies LLC v. CNET Media, Inc.*, 2023 WL 8187441 (D. Del., Nov. 27, 2023).

³²³ *Id.* at *1.

³²⁴ *Id.*

³²⁵ *Id.* at *2.

³²⁶ *Id.*

³²⁷ *Id.* at *30.

³²⁸ *Id.* at *31-32.

³²⁹ *Id.*

³³⁰ *Id.* at *32-33.

³³¹ *Id.* at *34.

legal representation to those with the same interest as their employers.³³² However, as mentioned above, plaintiffs did not share these interests and therefore Judge Connolly referred the attorneys to the Texas Supreme Court's Unauthorized Practice of Law Committee for investigation into their unauthorized practice of law.³³³

Finally, Judge Connolly also alerted the Department of Justice and the USPTO that several filings made by IP Edge with the PTO concerning assignments of the patents asserted by plaintiffs apparently contradicted one another.³³⁴ 18 U.S.C. § 1001(a) “makes it a crime to knowingly submit to a federal agency a ‘materially false, fictitious, or fraudulent statement or representation,’ and therefore IP Edge’s activities warranted further investigation.”³³⁵

Backertop Licensing LLC v. Canary Connect, Inc., 107 F.4th 1335 (Fed. Cir. July 16, 2024)

In this appeal from the District of Delaware related to *Nimitz Technologies*, the Federal Circuit affirmed the imposition of sanctions entered by Judge Connolly related to the plaintiffs’ failure to disclose controlling entities.³³⁶ This opinion arises out of the same circumstances as *Nimitz Technologies*.³³⁷

After Backertop filed twelve cases in various district courts, the district court “identified the same pattern of potential misconduct seen in the other IP Edge-linked and Maxevar-linked cases,” including *Nimitz Technologies*.³³⁸ The district court subsequently ordered Backertop’s sole owner, Ms. LaPray, and its attorneys to appear in-person for a hearing to address ownership documents submitted by Backertop that raised “concerns about potential attorney and party misconduct.”³³⁹ After the court denied Ms. LaPray’s motion to appear by telephone, Ms. LaPray refused to appear, resulting in her being held in civil contempt under the court’s inherent powers.³⁴⁰

The Federal Circuit affirmed, rejecting Backertop’s argument that Rule 45 limits the *sua sponte* power of courts to issue an order to appear.³⁴¹ Because Rule 45 concerns the issuance of subpoenas by *parties* and their attorneys—not a court’s *sua sponte* orders—the court held that it was inapposite.³⁴² And since the order to compel Ms. LaPray’s appearance was “an appropriate means to investigate potential misconduct involving Backertop, a corporate party of which she is the sole representative,” the Federal Circuit held that compelling her attendance—and holding her in contempt for noncompliance—was not an abuse of discretion.³⁴³

³³² *Id.*

³³³ *Id.*

³³⁴ *Id.* at *34-35.

³³⁵ *Id.* at *35.

³³⁶ *Backertop Licensing LLC v. Canary Connect, Inc.*, 107 F.4th 1335 (Fed. Cir. 2024)

³³⁷ *Id.* at 1337-38.

³³⁸ *Id.* at 1338-39.

³³⁹ *Id.* at 1339-40.

³⁴⁰ *Id.* at 1339-41.

³⁴¹ *Id.* at 1343.

³⁴² *Id.* at 1343-44.

³⁴³ *Id.* at 1344-45.

Incorporation by Reference

Medtronic, Inc. v. Teleflex Life Sciences Limited, 86 F.4th 902 (Fed. Cir. Nov. 16, 2023)

In this appeal from the PTAB, the Federal Circuit explained that a party cannot incorporate by reference a brief from another case into its appeal brief before the court.³⁴⁴ Appellant Medtronic urged the court to decide the diligence issue raised at the PTAB based on a brief from an earlier case it had incorporated by reference, arguing that, because the Board incorporated its own analysis by reference, Medtronic should be allowed to do the same.³⁴⁵ The Federal Circuit rejected this argument, explaining that allowing incorporations by reference would effectively allow parties to circumvent the Court’s word limit rules.³⁴⁶ Therefore, because Medtronic did not adequately address the diligence issue within its brief, the court found it had “waived any challenges to the Board’s diligence finding.”³⁴⁷

Promptu Systems Corporation v. Comcast Corporation, 2024 WL 649221 (Fed. Cir. Feb. 16, 2024)

In this appeal from the PTAB, the Federal Circuit issued a *sua sponte* order that “[p]arties may not incorporate by reference arguments into one brief from another . . . if it would result in exceeding the applicable word count.”³⁴⁸ Counsel for Comcast submitted a brief which incorporated by reference almost 2,000 words from a brief in a related appeal, making the brief over 1,300 words longer than the applicable word count.³⁴⁹ Comcast’s counsel argued this was done to “increase efficiency” and that the Federal Circuit had never explicitly ruled on whether incorporation “from the same party’s brief in a companion appeal” was allowed.³⁵⁰ However, the court held that there is no exception to the previously stated rule that all incorporations by reference must obey the applicable word count, and that future violations of this rule “will likely result in sanctions.”³⁵¹

Attorney’s Fees

Realtime Adaptive Streaming v. Sling, 113 F.4th 1248 (Fed Cir. Aug. 23, 2024)

In this appeal from the District of Colorado, the Federal Circuit vacated the district court’s award of attorneys’ fees to Sling.³⁵²

³⁴⁴ *Medtronic, Inc. v. Teleflex Life Sciences Limited*, 86 F.4th 902 (Fed. Cir. 2023).

³⁴⁵ *Id.* at 906.

³⁴⁶ *Id.* at 906-07.

³⁴⁷ *Id.* at 907.

³⁴⁸ *Promptu Systems Corporation v. Comcast Corporation*, 2024 WL 649221 (Fed. Cir. 2024).

³⁴⁹ *Id.* at *1.

³⁵⁰ *Id.*

³⁵¹ *Id.* at *2.

³⁵² *Realtime Adaptive Streaming L.L.C. v. Sling TV, L.L.C.*, 113 F.4th 1348 (Fed. Cir. 2024).

The district court’s order of fees were based on six “red flags” that rendered the case exceptional.³⁵³

First, the district court found that, given parallel litigation that had invalidated the patents asserted by Realtime, Realtime should have reconsidered its patent eligibility position in this case.³⁵⁴ The Federal Circuit agreed that this factor was relevant to whether the case warranted attorneys’ fees. But the Federal Circuit held the remaining red flags did not support an award of attorneys’ fees.

The court rejected the second “red flag”—a Federal Circuit case concerning a different, but related, technology—since the claims and limitations at issue in that case were not at issue in this case.³⁵⁵ The same was true of the third red flag—a PTAB decision invalidating the asserted patents—because the PTAB decision did not concern patent eligibility, and therefore did not “put Realtime on notice that its arguments regarding the eligibility of its patent claims were entirely without merit.”³⁵⁶ The Federal Circuit similarly rejected the district court’s fourth red flag—two non-final office actions during *ex parte* reexamination of the asserted patent—because those office actions used a claim construction that the district court itself had rejected.³⁵⁷ The fifth red flag cited by the district court—a notice letter from Dish that included a threat to seek fees—was also improper, according to the Federal Circuit, since providing “notice of adverse case law and the possibility that opposing counsel” would seek fees did not amount to clear notice that the claims pursued by Realtime were invalid.³⁵⁸ Finally, the Federal Circuit rejected the district court’s reliance on Dish’s expert, who had testified that the asserted patents were ineligible, since that sort of testimony was “typical of the ordinary, unexceptional patent infringement case” and Realtime had put forth evidence rebutting Dish’s expert.³⁵⁹

Dragon Intellectual Property LLC v. DISH Network L.L.C., 101 F.4th 1366 (Fed. Cir. May 20, 2024)

In this appeal from the District of Delaware, the Federal Circuit affirmed the district court’s finding that attorney’s fees incurred in IPR proceedings are not recoverable under 35 U.S.C. § 285.³⁶⁰ Defendants DISH and Sirius XM (“SXM”) initiated an IPR, which found that the asserted patents were invalid.³⁶¹ Even though the IPR proceeded in parallel to litigation at the district court, the Federal Circuit noted that the defendants had “voluntarily pursued” these parallel proceedings and accrued “advantages”—including lower burdens of proof and an expeditious dispute-resolution process—in doing so.³⁶² The court concluded that, “[i]n cases where a party voluntarily elects to pursue an invalidity challenge through IPR proceedings, we see no basis for

³⁵³ *Id.* at 1353-54.

³⁵⁴ *Id.* at 1355.

³⁵⁵ *Id.* at 1356.

³⁵⁶ *Id.* at 1357.

³⁵⁷ *Id.*

³⁵⁸ *Id.* at 1358.

³⁵⁹ *Id.* at 1358-59.n

³⁶⁰ *Dragon Intellectual Property LLC v. DISH Network L.L.C.*, 101 F.4th 1366 (2024).

³⁶¹ *Id.* at 1369.

³⁶² *Id.* at 1371.

awarding IPR fees under § 285.”³⁶³ The court also noted that, if “cases” under § 285 included IPR proceedings, that would require district court judge to “evaluat[e] the exceptionality of arguments, conduct, and behavior in a proceeding in which they had no involvement,” which does not comport with the level of deference accorded to § 285 findings on exceptionalness.³⁶⁴

In dissent, Judge Bencivengo, sitting by designation, disagreed with the majority’s assertion that the IPR proceedings were “voluntary.”³⁶⁵ Judge Bencivengo observed that the defendants had been “compelled to contest the validity of Dragon’s patents in response to Dragon’s meritless infringement suit,” and, in response, they “exercised their statutory option to litigate their affirmative invalidity defenses in IPR.”³⁶⁶ And because the district court had stayed the invalidity proceedings pending the outcome of the IPR, the IPR effectively “substituted” for district court litigation on invalidity and resulted in the determination that defendants were the prevailing party.³⁶⁷ On exceptionalness, Judge Bencivengo asserted that, since the case was “objectively baseless from its inception,” district courts should have the discretion “to award *all* reasonable fees incurred by the prevailing defendant, including fees incurred in an IPR that resolved any invalidity defenses that were required to be asserted in response to the baseless complaint.”³⁶⁸

Judge Bencivengo’s dissent seems clearly correct that the voluntariness of a proceeding does not affect entitlement to attorneys fees.

Personal Jurisdiction

SnapRays v. Lighting Defense Group, 100 F.4th 1371 (Fed. Cir. May 2, 2024)

In this appeal from the District of Utah, the Federal Circuit reversed the district court’s dismissal of a declaratory judgment complaint for lack of personal jurisdiction.³⁶⁹ Lighting Defense Group (“LDG”), a Delaware LLC, had used Amazon’s Patent Evaluation Express (“APEX”) program—which allows third-party patent owners to identify infringing listings on Amazon and cause the third parties to be notified—to notify SnapPower, a Utah company, of possibly infringing products.³⁷⁰ After negotiations between the parties broke down, SnapPower filed a declaratory judgment action, which was dismissed after the district court held that LDG lacked sufficient contacts with Utah.³⁷¹

The Federal Circuit reversed, holding that LDG, by submitting its request to APEX, “purposefully directed its activities at SnapPower in Utah” because LDG knew

³⁶³ *Id.* at 1371.

³⁶⁴ *Id.* 1372.

³⁶⁵ *Id.* at 1374 (Bencivengo, J., dissenting in part).

³⁶⁶ *Id.*

³⁶⁷ *Id.*

³⁶⁸ *Id.*

³⁶⁹ *SnapRays v. Lighting Defense Group*, 100 F.4th 1371 (2024).

³⁷⁰ *Id.*

³⁷¹ *Id.* at 1373-74.

that this request would “affect sales and activities in Utah.”³⁷² The court distinguished contrary precedent involving cease and desist letters, observing that the “APEX Agreement goes beyond a cease and desist letter because, absent action by SnapPower in response to the APEX Agreement, SnapPower’s listings would have been removed from Amazon.com,” which would “automatic[ally] . . . affect sales and activities in the forum state.”³⁷³ Finally, the Federal Circuit found the exercise of jurisdiction reasonable.³⁷⁴

³⁷² *Id.* at 1375.

³⁷³ *Id.* at 1376.

³⁷⁴ *Id.* at 1378 (“LDG initiated a process that, if SnapPower took no action, would result in SnapPower’s listings being removed from Amazon.com, necessarily affecting sales activities in Utah. LDG has not articulated a compelling argument why it would be unfair or unreasonable for it to be subject to specific personal jurisdiction in Utah under these circumstances.”).

Expert Qualifications

Osseo Imaging, LLC v. Planmeca UCA Inc., __ F.4th __, 2024 WL 4031140 (Fed. Cir. Sept. 4, 2024)

In this appeal from the District of Delaware, the Federal Circuit affirmed the district court’s decision finding that a technical expert’s testimony provided substantial evidence to support the jury’s verdict in favor of Osseo Imaging.³⁷⁵ On appeal, Planmeca argued that technical expert’s testimony was infirm because the expert became skilled in the art some years *after* the invention was made, and the expert was not skilled at the time of the invention.³⁷⁶

The Federal Circuit first noted the “unusual” posture of this challenge—an appeal from a Rule 50 motion for judgment as a matter of law—since Planmeca had not litigated a *Daubert* motion nor appealed the relevant evidentiary motions decided adversely to Planmeca at trial.³⁷⁷ And, on the merits, the court rejected Planmeca’s attempt “to add a timing requirement” to the minimum qualifications for expert testimony.³⁷⁸ The court found that this notion—that a technical expert “must possess the requisite ordinary skill in the art ‘*at the time of the alleged invention*’”—³⁷⁹—was unsupported by Federal Circuit precedent and went to credibility, rather than reliability, of the expert’s testimony.³⁸⁰

ParkerVision, Inc. v. Qualcomm Inc., __ F.4th __, 2024 WL 4094640 (Fed. Cir. Sept. 6, 2024)

In this appeal from the Middle District of Florida, the Federal Circuit reversed the district court’s decision to exclude ParkerVision’s expert testimony on infringement and vacated the district court’s finding of noninfringement.³⁸¹ The district court had granted Qualcomm’s *Daubert* motion to exclude testimony from ParkerVision’s experts because those experts did not support their opinions with their own independent testing and simulation of the accused products.³⁸² This was reversible error, the Federal Circuit held, because the experts considered schematics and technical documents concerning the accused products.³⁸³ Because the experts reasonably relied on information created by others skilled in the art—a methodology that even Qualcomm admitted would be sufficient to form “an accurate understanding”—the court found that there was “neither a

³⁷⁵ *Osseo Imaging, LLC v. Planmeca UCA Inc.*, __ F.4th __, 2024 WL 4031140 (Fed. Cir. Sept. 4, 2024).

³⁷⁶ *Id.* at *2.

³⁷⁷ *Id.* at *2.

³⁷⁸ *Id.* at *3.

³⁷⁹ *Id.* (quoting Planmeca’s briefing).

³⁸⁰ *Id.* at *3-4.

³⁸¹ *ParkerVision, Inc. v. Qualcomm Inc.*, __ F.4th __, 2024 WL 4094640 (Fed. Cir. Sept. 6, 2024).

³⁸² *Id.* at *12.

³⁸³ *Id.* at *12.

factual nor legal basis here for finding that expert testimony is unreliable unless the expert *herself* undertakes to test or simulate the accused products.”³⁸⁴

³⁸⁴ *Id.* at *12 (emphasis added).

PTO AND PTAB PROCEDURE

Inter Partes Review Procedure

DK Crown Holdings, Inc. v. Diogenes Limited, IPR2023-00268, Paper 11, (PTAB Nov. 7, 2023) (Director Decision)

In this Director review decision, Director Vidal referred review of an institution denial to an independent Delegated Review Panel (“DRP”).³⁸⁵ This decision marks the first usage of this newly created review panel.

American Honda Motor Co., Inc. v. Neo Wireless LLC, IPR2023-00797, Paper 27, (PTAB March 22, 2024) (Director Decision)

In this Director review decision, Director Vidal overturned the PTAB’s denial of petitioner Honda’s request for IPR institution.³⁸⁶ Volkswagen, which was under a court-ordered obligation to coordinate case management with Honda, had filed an earlier IPR concerning the same patent Honda was challenging.³⁸⁷ Neo, the patent’s owner, argued before the Board that Honda could not institute its own IPR because a “significant relationship” under the *General Plastics/Valve* test existed between Honda and Volkswagen.³⁸⁸ The Board agreed, but Director Vidal explained that a “significant relationship” does not exist between parties that “merely engage in court-ordered pretrial coordination” as long as those parties have “different accused products.”³⁸⁹ She therefore vacated the Board’s decision and remanded because Honda and Volkswagen were, in fact, accused of having different infringing products.³⁹⁰

Constitutionality and Jurisdiction

Allgenesis Biotherapeutics Inc. v. Cloudbreak Therapeutics, LLC, 85 F.4th 1377 (Fed. Cir. Nov. 7, 2023)

This appeal from the PTAB was dismissed by the Federal Circuit on grounds that appellant Allgenesis failed to establish an injury in fact sufficient for it to have

³⁸⁵ *DK Crown Holdings, Inc. v. Diogenes Limited, IPR2023-00268, Paper 11, (PTAB Nov. 7, 2023) (Director Decision)*.

³⁸⁶ *American Honda Motor Co., Inc. v. Neo Wireless LLC, IPR2023-00797, Paper 27, (PTAB March 22, 2024) (Director Decision)*.

³⁸⁷ *Id.*

³⁸⁸ *Id.*

³⁸⁹ *Id.*

³⁹⁰ *Id.*

standing.³⁹¹ Allgenesis had petitioned for an IPR challenging Cloudbreak’s patent covering treatments of pterygium, which resulted in Cloudbreak disclaiming all but two claims directed narrowly to the drug nintedanib.³⁹² The PTAB held that Allgenesis failed to prove these claims unpatentable, and Allgenesis appealed this ruling.³⁹³ It claimed standing to appeal based on (1) its potential infringement liability and (2) the Board’s determination that Allgenesis’ own PCT publication was not prior art to Cloudbreak’s remaining claims.³⁹⁴

The Federal Circuit rejected Allgenesis’ first argument because Allgenesis had no specific plans to bring a nintedanib product to market, meaning it could not prove a “substantial risk of future infringement” necessary for injury in fact.³⁹⁵ Allgenesis also claimed that the Board’s priority finding constituted an injury in fact because it had a “preclusive effect on the scope” of Allgenesis’ patent rights relating to the PCT publication.³⁹⁶ However, the court also rejected this argument, reasoning that “collateral consequences” are insufficient to confer standing for an otherwise non-appealable judgement and that Allgenesis’ arguments regarding the impact on its own patent rights were insufficiently vague.³⁹⁷ It therefore concluded Allgenesis lacked standing and dismissed the appeal.³⁹⁸

Purdue Pharma L.P. v. Collegium Pharmaceutical, Inc., 86 F.4th 1338 (Fed. Cir. Nov. 21, 2023)

In this appeal from the PTAB, the Federal Circuit explained that the Board retains jurisdiction to issue a Final Written Decision even after the deadline in the relevant statute has passed.³⁹⁹ In this case, the Board had not issued a Final Written Decision in a PGR proceeding by the time the 18-month statutory deadline passed, causing appellant Purdue to motion to terminate the proceeding.⁴⁰⁰ The Board denied this motion then issued its Final Written Decision on the same day.⁴⁰¹

On appeal, the Federal Circuit explained that Supreme Court precedent dictates that, when a “statutory timing directive . . . does not specify the consequences of non-compliance, courts should not assume that Congress intended that the agency lose its power to act.”⁴⁰² It therefore turned to the language of the statute itself and its legislative history, concluding that neither supported a finding the board was unauthorized to act.⁴⁰³

³⁹¹ *Allgenesis Biotherapeutics Inc. v. Cloudbreak Therapeutics, LLC*, 85 F.4th 1377 (Fed. Cir. 2023).

³⁹² *Id.* at 1379.

³⁹³ *Id.* at 1379-80.

³⁹⁴ *Id.* at 1380.

³⁹⁵ *Id.* at 1381.

³⁹⁶ *Id.* at 1382.

³⁹⁷ *Id.*

³⁹⁸ *Id.* at 1382-83.

³⁹⁹ *Purdue Pharma L.P. v. Collegium Pharmaceutical, Inc.*, 86 F.4th 1338 (Fed. Cir. 2023).

⁴⁰⁰ *Id.* at 1341.

⁴⁰¹ *Id.*

⁴⁰² *Id.* at 1342 (internal quotation marks omitted).

⁴⁰³ *Id.* at 1342-44.

Therefore, the court held the PTAB’s “failure to comply with the statutory deadline [did] not deprive it of authority thereafter to issue a final written decision.”⁴⁰⁴

⁴⁰⁴ *Id.* at 1345.

DESIGN PATENTS

***LKQ Corp. v. GM Glob. Tech. Operations LLC*, 102 F.4th 1280 (Fed. Cir. 2024) (en banc)**

In this appeal from the PTAB, the Federal Circuit, sitting en banc, affirmed the PTAB’s novelty determination and vacated the PTAB’s obviousness determination with respect to GM’s design patent claiming the design of a vehicle fender.⁴⁰⁵

The PTAB had determined, under the *Gorham* “ordinary observer” test⁴⁰⁶, that the claimed design was not anticipated by prior art due to differences between the designs.⁴⁰⁷ The original Federal Circuit panel affirmed this finding, and the en banc court agreed with that portion of the panel’s holding.⁴⁰⁸

On obviousness, the PTAB applied the long-standing *Rosen-Durling*⁴⁰⁹ test, under which a court must first, at the first step, find a single reference that is “basically the same” as the claimed design, and then, at the second step, the court may consider other relevant references that might modify the primary reference to create a substantially similar design—but only if those secondary references are “so related” to the primary reference that they would suggest application of those features to the primary reference.⁴¹⁰ The Federal Circuit panel reviewing the PTAB decision affirmed, rejecting LKQ’s argument that *KSR International Co. v. Teleflex Inc.*, 550 U.S. 398 (2007) overruled the *Rosen-Durling* test.⁴¹¹

Sitting en banc, the Federal Circuit agreed with LKQ and overruled the *Rosen-Durling* test.⁴¹² The court observed that the first step in *Rosen-Durling*’s rigid approach—one that effectively ends the analysis unless there is a primary reference that is “basically the same” as what is claimed—was out of step both with *KSR* and with *Smith v. Whitman Saddle Co.*,⁴¹³ an 1893 Supreme Court case analyzing obviousness in the design patent context.⁴¹⁴ The second step of the test—which requires that a secondary reference be “so related” to the primary reference that it creates its own motivation to combine the references—was similarly contrary to *KSR* and *Whitman*.⁴¹⁵

⁴⁰⁵ *LKQ Corp. v. GM Glob. Tech. Operations LLC*, 102 F.4th 1280 (Fed. Cir. 2024) (en banc). N.B.: Mark Lemley represented LKQ in this appeal.

⁴⁰⁶ See *Gorham Manufacturing Co. v. White*, 81 U.S. 511 (1871).

⁴⁰⁷ *LKQ*, 102 F.4th at 1289.

⁴⁰⁸ *Id.* at 1290.

⁴⁰⁹ *In re Rosen*, 673 F.2d 388, 391 (CCPA 1982); *Durling v. Spectrum Furniture Co., Inc.*, 101 F.3d 100, 103 (Fed. Cir. 1996).

⁴¹⁰ *LKQ*, 102 F.4th at 1289.

⁴¹¹ *Id.* at 1290.

⁴¹² *Id.* at 1295.

⁴¹³ 148 U.S. 674 (1893)

⁴¹⁴ *LKQ*, 102 F.4th at 1294.

⁴¹⁵ *Id.* at 1295.

Having overruled *Rosen-Durling*, the en banc court then set forth a new test based on *Graham v. John Deere Co.*⁴¹⁶ for obviousness in the design patent context.⁴¹⁷

For the first factor of the *Graham* analysis (scope and content of the prior art), the court instructed that all “analogous art” should be considered a prior art reference.⁴¹⁸ While the court declined to specify the full contours of the “analogous art” test, it noted, at a minimum, that “art from the same field of endeavor as the article of manufacture of the claimed design,” while leaving open the possibility that other art could be analogous.⁴¹⁹

For the second factor of the *Graham* analysis (differences between prior art and the claimed design), the test involves “compar[ing] the visual appearance of the claimed design with prior art designs, albeit from the perspective of an ordinary designer in the field of the article of manufacture.”⁴²⁰

And for the third *Graham* factor (level of skill), the relevant inquiry is the knowledge of “a designer of ordinary skill who designs articles of the type involved.”⁴²¹

In applying these factors, the ultimate inquiry is whether “ordinary designer[s] in the field to which the claimed design pertains would have been motivated to modify the prior art design ‘to create the same overall visual appearance as the claimed design,’ though the motivation need not come from the references themselves.”⁴²² Secondary considerations remain relevant in this inquiry, though the court declined to hold whether certain secondary considerations from the utility patent context were relevant in the design patent context.⁴²³

The court thus vacated the PTAB’s decisions and remanded for the PTAB to apply the new obviousness test.⁴²⁴

⁴¹⁶ 383 U.S. 1 (1966).

⁴¹⁷ *LKQ*, 102 F.4th at 1295.

⁴¹⁸ *Id.* at 1296.

⁴¹⁹ *Id.* at 1297.

⁴²⁰ *Id.* at 1298.

⁴²¹ *Id.* at 1299 (citation omitted).

⁴²² *Id.* at 1299 (citation omitted).

⁴²³ *Id.* at 1300.

⁴²⁴ *Id.* at 1301.